Biennial Report

2025

OFFICE OF STATE TAX COMMISSIONER



57th Edition

NDTax
NORTH DAKOTA
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A LETTER FROM THE COMMISSIONER



Greetings,

The North Dakota Office of State Tax Commissioner remains steadfast in its mission to provide efficient, accurate, and exceptional service to taxpayers by fairly and effectively administering the tax laws of our state. Established as an independent agency in 1912, the Office of State Tax Commissioner serves as North Dakota's primary revenue collection agency, accounting for more than 95 percent of all general fund dollars each biennium.

The agency administers nearly 30 tax types, including sales and use, individual and corporate income, oil and gas, and excise taxes such as motor vehicle, alcohol, and tobacco. The authority and responsibilities of the agency are outlined in Title 57 of the North Dakota Century Code, with general powers defined in N.D.C.C. § 57-01-02.

As Tax Commissioner of North Dakota, I am pleased to present the Biennial Report for the period of July 1, 2023, through June 30, 2025. This report highlights successful programs, legislative actions, and advancements made to better serve the taxpayers of the state.

During this biennium, the 69th North Dakota Legislative Assembly completed a productive and historic session with lawmakers introducing 1,089 bills, the most since 2009. Of these, 615 successfully passed both the House and Senate, with Governor Kelly Armstrong signing 536 into law.

This Biennial Report offers a comprehensive overview of our agency's key functions and responsibilities. It includes detailed information on income tax credits and incentives, alcohol wholesale tax administration, oil extraction tax legislation, biennium-to-biennium financial comparisons, an overview of tax collection types, and a full statement of expenditures. Through intuitive dashboards and in-depth analytics, Power BI helps identify trends, track performance, and present meaningful comparisons. The data featured in this report reflects our continued commitment to transparency, accuracy, and informed decision-making.

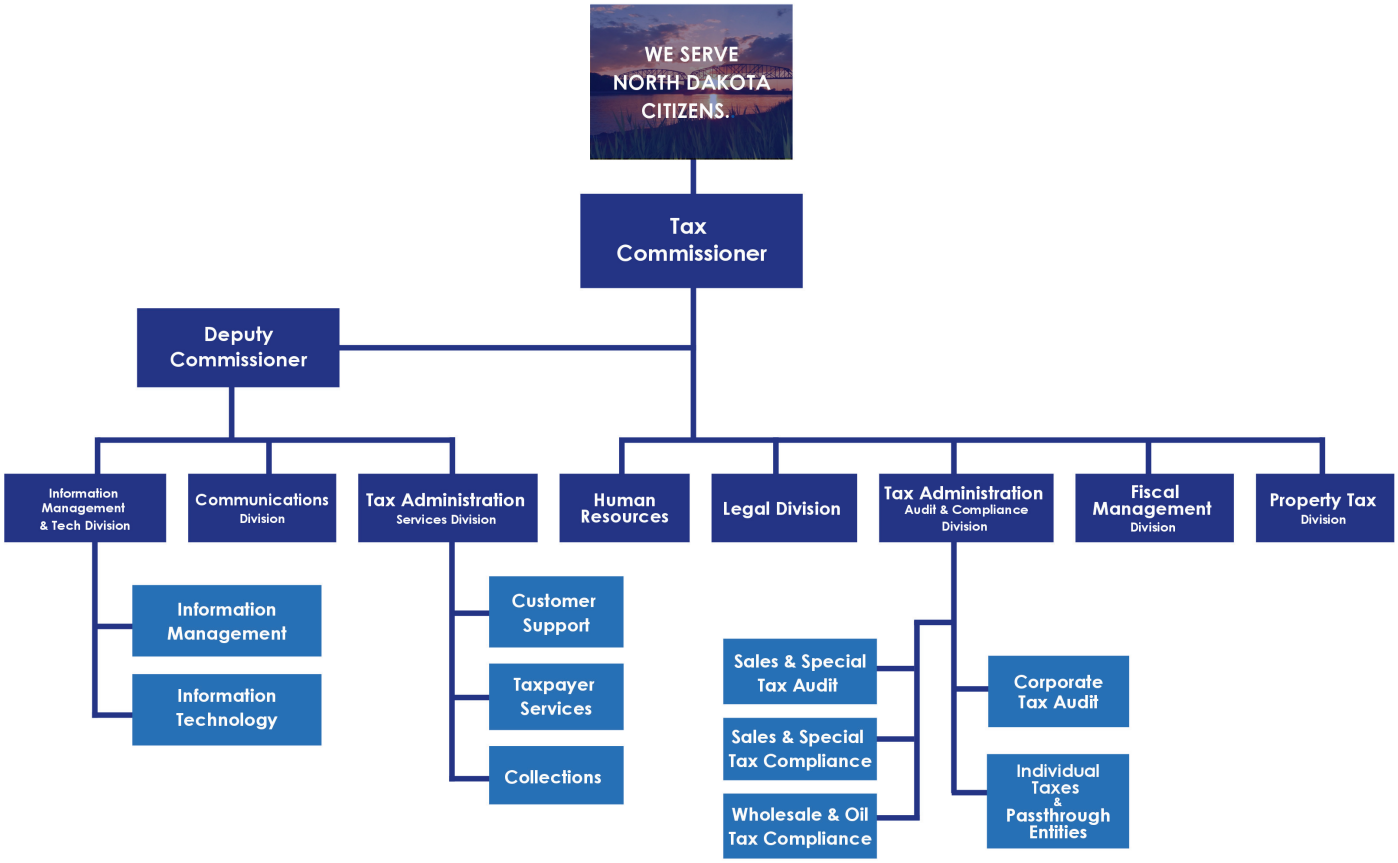
The Office of State Tax Commissioner will continue to remain focused on delivering exceptional customer service, advancing digital capabilities, and improving innovative solutions to better serve the residents and businesses of North Dakota. These efforts continue to guide our operations and reflect our ongoing commitment to effective tax administration in the state.

If you have any questions regarding North Dakota tax-related programs, please reach out to our agency at 701-328-7088, visit our website at www.tax.nd.gov, and connect with our social media.

Sincerely,

Brian Kroshus, Tax Commissioner

ORGANIZATIONAL CHART



The Office of State Tax Commissioner is comprised of six divisions. The following provides insight into the roles and responsibilities of these divisions.

COMMISSIONER'S DIVISION

- This division serves as the administrative hub of the agency. It manages personnel, communications, and research functions, and conducts tax-related studies as assigned by the Tax Commissioner. The Deputy Commissioner and Human Resources are also part of this division.

FISCAL MANAGEMENT DIVISION

- This is the financial center covering revenue accounting, accounts payable, payroll, asset management, purchasing, and budgeting.

INFORMATION MANAGEMENT AND TECHNOLOGY DIVISION

- The Information Management and Technology (IM&T) Division leads the agency's technology efforts and safeguards taxpayer data. They support an integrated tax system (Gentax® and the onsite support staff) and all other software programs used throughout the agency. The IM&T division is also responsible for processing all incoming and outgoing mail, printing, validating, imaging, data entry, and storage of all tax records.

FUNCTIONS & RESPONSIBILITIES

LEGAL DIVISION

- The Legal Division provides litigation services, legal advice and counsel to the agency and State Board of Equalization. In addition to handling all aspects of litigation, services provided include drafting legislation, commissioner opinions, open records responses, policies, contracts, and correspondence. During legislative sessions, the division provides information and testimony to legislative committees on behalf of the agency. It also assists the agency in interpreting new or amended laws and aids the agency and Tax Commissioner in the implementation of those laws.

PROPERTY TAX DIVISION

- The Property Tax Division administers property and utility taxes, coal taxes, the Primary Residence Credit Program, Homestead Property Tax Credit and Renter's Refund Program, Disabled Veterans Property Tax Credit Program, and provides administrative and technical support to the State Board of Equalization.

TAX ADMINISTRATION DIVISION

- The largest division of the agency administers taxes for individual income, corporate income, sales and use, motor fuels, oil and gas gross production, oil extraction, alcoholic beverages, tobacco products and estate; special taxes; telecommunications gross receipts tax; and applicable local option taxes. This division is also responsible for the collection of delinquent taxes and determining licensing requirements, establishing filing frequency requirements and managing taxpayer demographic information.



LEGISLATIVE UPDATES

The following are highlights of income tax, property tax, and sales and special taxes legislation approved by the 2025 Legislative Assembly and signed into law by Governor Kelly Armstrong.

Please Note: The information provided in this section is not reflected in the charts and graphs on the succeeding pages. New approved state tax laws will affect future net collections and will be displayed in upcoming biennial reports.

INCOME TAX CREDIT LEGISLATION

SB 2282 - INCOME TAX CREDIT FOR EMPLOYER PROVIDED CHILD CARE PAYMENTS

Beginning with tax year 2025, a new income tax credit was created for employers who provide child care assistance to their employees. The credit equals 50% of an employer's qualified child care payments made during the year, up to the first $1,000 of payments per employee. To qualify, employers must offer an equal opportunity for all employees with child care costs to participate. Eligible payments include those made directly to North Dakota–licensed child care facilities or to licensed facilities within ten miles of the state, as well as reimbursements made to employees for qualified child care.

The credit is available to corporations, individuals, estates, trusts, and passthrough entities, with passthrough credits distributed proportionally to each owner. There is no cap on the total amount of credit that may be earned in a tax year; however, it is nonrefundable and cannot be carried forward to future years.

SB 2038 - DISCLOSURE OF TAX INCENTIVE INFORMATION

Senate Bill 2038 amends existing law to require the Office of State Tax Commissioner to disclose the amount of any tax exemption granted to a taxpayer upon request from the chairman of legislative management or a legislative standing committee. This change expands current law, which already allows similar disclosures for tax credits and deductions claimed.

However, the bill maintains confidentiality protections by prohibiting the disclosure of a taxpayer's name or any other information restricted under N.D.C.C. Title 57.

FEDERAL TAX LAW CHANGES

H.R. 1 - ONE BIG BEAUTIFUL BILL ACT

On July 4, 2025, President Donald Trump signed into law the One Big Beautiful Bill Act (OBBBA), a budget reconciliation measure that includes several federal income tax changes.

A major provision makes permanent many elements of the Tax Cuts and Jobs Act of 2017, which were set to expire after tax year 2025. New individual income tax provisions provide partial exclusions or deductions for tip income, overtime pay, car loan interest, and charitable contributions, along with adjustments to the standard deduction, itemized deductions, and child tax credit.

Some provisions apply retroactively to 2025, while others are permanent or expire after 2028. Because North Dakota's income tax calculation begins with federal taxable income, these federal changes will automatically affect North Dakota taxable income.

However, federal tax credit changes do not directly impact state calculations. North Dakota's income tax rates and brackets for 2025 remain unchanged, with updated 2026 rates and withholding tables to be published in November once federal inflation data becomes available.

LEGISLATIVE UPDATES

PROPERTY TAX CREDIT

HB 1176 - PROPERTY TAX RELIEF: PRIMARY RESIDENCE CREDIT

House Bill 1176 continues and updates the Primary Residence Credit (PRC) program established during the 2023 Legislative Session under House Bill 1158. Qualifying PRC applicants receive an annual property tax credit against the property taxes due on their primary residence. Key updates include:

- Expansion of the maximum credit from $500 to $1,600 per primary residence
- One-time special application period for mobile homeowners.
- Funding the program with legacy fund earnings
- Creating a new primary residential property class for tax years after 2025

RENTER'S REFUND

House Bill 1176 increases the maximum benefit under the Renter's Refund program from $400 to $600. The Renter's Refund program provides a partial refund of rent paid for a renter's place of residence or mobile home lot.

DISABLED VETERAN'S CREDIT

House Bill 1176 increases the maximum benefit under the Disabled Veteran's Credit program from $8,100 to $9,000. The bill also allows a Disabled Veteran's benefit for a parent or child and clarifies the definitions of child, homestead, and parent for Disabled Veteran's Credit program purposes.

ADMINISTRATIVE IMPACTS FOR HB 1176

- Places a 3% annual cap on how much local governments can increase property taxes levied
- Provides for an interim legislative management study of property tax reform and relief
- Eliminates estimated property tax notices and replaces with Notice of Assessment
- Requires notice of budget hearings to all property owners
- Updates information required on property tax statements

SALES & SPECIAL TAXES

HB 1466 - DOMESTIC AND MANUFACTURING DISTILLERIES

House Bill 1466 updates the production limits for domestic distilleries and manufacturing distilleries to a limit of 25,000 gallons and 40,000 gallons per year, respectively. The bill introduces new definitions to N.D.C.C. § 5-01-01.

- Domestic Distillery - a distillery that produces 25,000 gallons or fewer of distilled spirits in a year.
- Manufacturing Distillery - a distillery that produces 40,000 gallons or fewer of distilled spirits in a year.
- Satellite Location - an offsite location owned or leased by a manufacturing distillery to conduct retail operations.

Additionally, the bill revises the proof gallon to liter ratio for self-distribution, effectively increasing the production limits related to distillery self-distribution privileges, from 42,000 liters to 45,425 liters per year.

Lastly, it expands the locations a manufacturing distillery can use a special event permit to include off-premises events, on-premises events, and events at the manufacturing distillery's satellite location.

HB 1281 - FIRE DEPARTMENT MOTOR FUEL TAX REFUNDS

House Bill 1281 establishes a new motor fuel and special tax refund available for fuel purchases made by a fire department certified under N.D.C.C. § 18-04-02.

For purchases made after June 30, 2025, fire departments may file a claim for a refund of motor vehicle fuel (gasoline/gasohol), special fuel (undyed diesel) and aviation fuel (jet fuel or aviation gasoline) taxes.

Claims for refund must be filed between January 1 and June 30 of the year following the fuel purchases.

LEGISLATIVE UPDATES

SALES & SPECIAL TAXES

SB 2397 - DEVELOPMENT INCENTIVE WELL OIL EXTRACTION TAX EXEMPTION AND GAS TAX EXEMPTION

Senate Bill 2397 has two components. First, it expands the existing gas tax exemptions to include an exemption for gas used as fuel in the operation of the lease site for drilling or production of oil or gas.

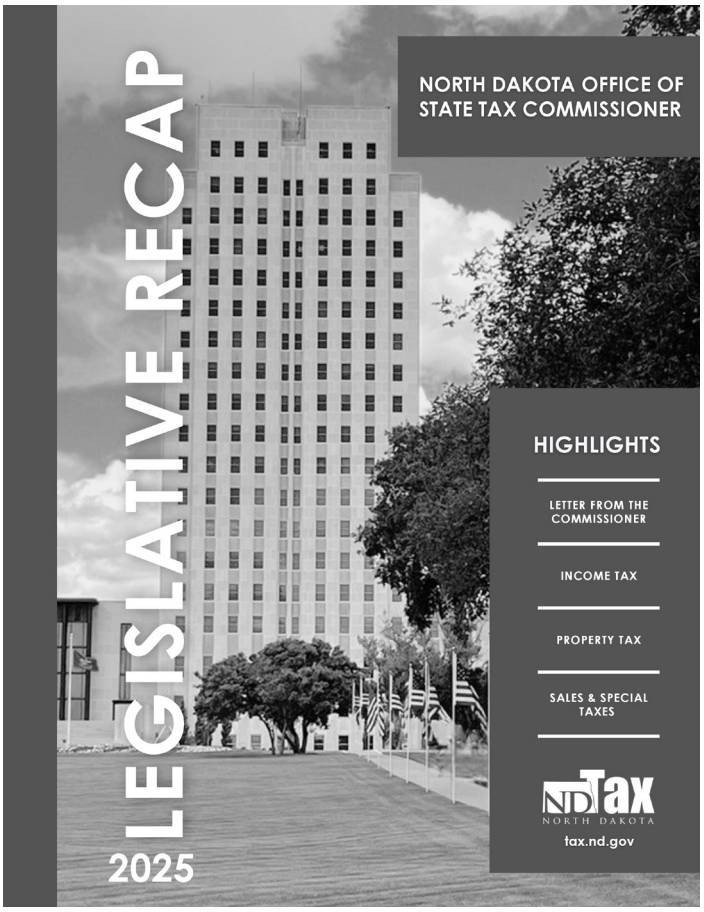
The expansion also applies to gas produced from an enhanced oil recovery project that utilizes gas for injection, up to the point where the volume of the initially injected gas has been recovered. Additionally, the previous requirement that generators at the well site must consume at least 75% of the gas produced has been removed.

Secondly, the bill establishes a new oil extraction tax exemption for development incentive wells. A development incentive well is defined as one that:

- Is spud after June 30, 2025.
- Utilizes a new or innovative drilling or completion technique that is a technical advancement.
- Demonstrates the ability to access a formation that otherwise would remain undeveloped.
- Is designed and anticipated to increase the number of wells, increase production, or boost the ultimate recovery of oil or gas from a well.

To qualify for the oil extraction tax exemption, development incentive wells must receive certification from the North Dakota Industrial Commission. The first 250,000 barrels of oil from a certified development incentive well drilled and completed before July 1, 2028, may be exempt from the oil extraction tax.

The exemption will not apply to wells located within the exterior boundaries of a reservation unless the tribe chooses to opt in by providing written notice. The development incentive well oil extraction tax exemption will expire on June 30, 2031.



A comprehensive publication regarding all tax changes made during the 2025 Legislative Session can be found in the Office of State Tax Commissioner's online Legislative Recap publication at **tax.nd.gov**.



COMPARATIVE STATEMENTS

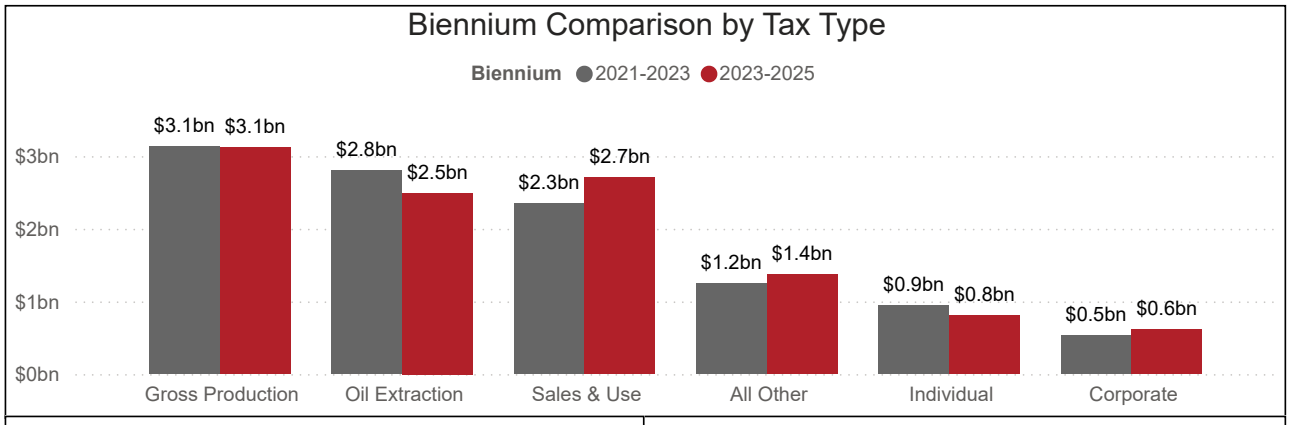
In this section, an overview of the Office of State Tax Commissioner's comparative statements will be provided. This provides a direct "biennium-to-biennium" comparison of the total collections.

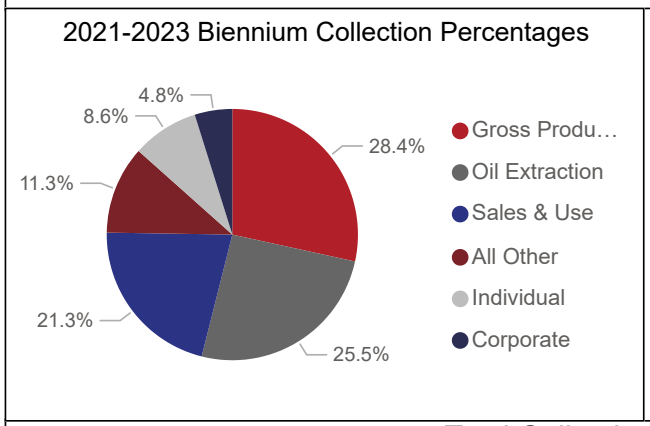
COMPARATIVE STATEMENT OF COLLECTIONS

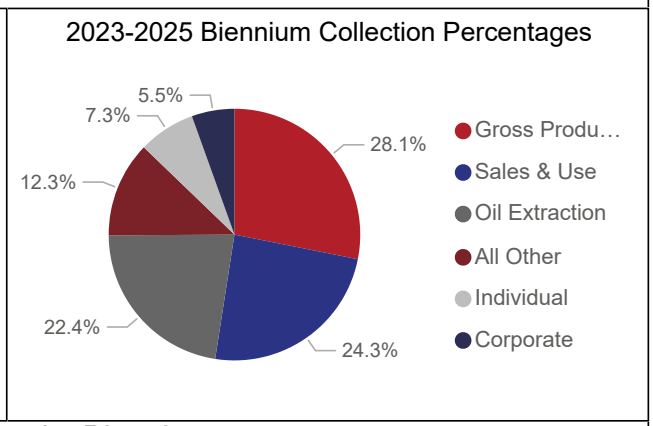
The charts on this page give a broad overview of the net collections by tax type over the last two bienniums. The top score cards show the total collection amounts, as well as the biennium percentage change. The bar chart compares the biennium collections by tax type. The two pie charts show the net collections as a percentage. The line chart at the bottom gives a historical view of net collections for the previous 10 bienniums.

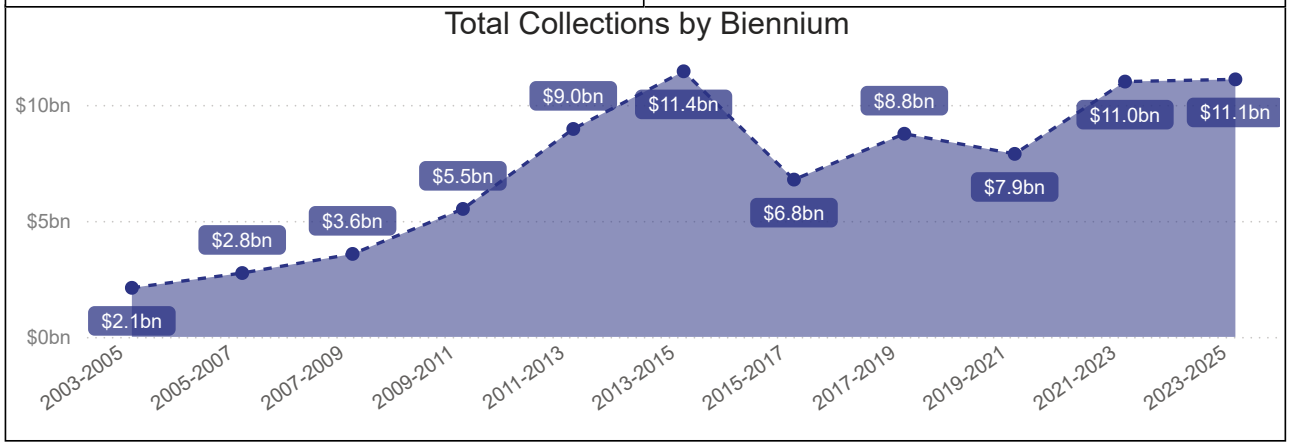
The following two pages provide the breakout of this data relative to the subsequent collection categories showcased throughout the remainder of this report.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$11.1bn	**$11.0bn**	**0.9%**
Total Collections	Total Collections	Percentage Change









STATEMENT OF COLLECTIONS: 2023-2025 BIENNIUM

Tax Type Category Included Tax or Fee Type	FY 2024 Collections	FY 2025 Collections	Biennium Total
Sales and Use Tax	**$1,321,011,468**	**$1,378,480,295**	**$2,699,491,763**
Alcohol Gross Receipts Tax (Tribal)	$0	$133,564	$133,564
Motor Vehicle Excise Tax	$1,012,088	$906,638	$1,918,726
Sales, Use, and Gross Receipts Tax	$1,319,999,380	$1,377,440,093	$2,697,439,473
Individual Income Tax	**$356,913,752**	**$454,307,586**	**$811,221,338**
Corporate Income Tax	**$277,392,914**	**$332,524,651**	**$609,917,565**
Oil & Gas Gross Production Tax	**$1,694,376,429**	**$1,427,928,399**	**$3,122,304,828**
Oil Extraction Tax	**$1,367,523,349**	**$1,123,908,455**	**$2,491,431,804**
Coal Conversion Tax	**$4,025,691**	**$4,335,058**	**$8,360,749**
Coal Severance Tax	**$9,465,362**	**$9,598,197**	**$19,063,559**
Motor Fuels	**$189,614,124**	**$191,627,736**	**$381,241,860**
Motor Vehicle Fuel Tax	$98,888,282	$99,420,988	$198,309,270
Special Fuel Tax	$90,725,842	$92,206,748	$182,932,590
Alcohol Tax	**$10,831,484**	**$10,832,534**	**$21,664,018**
Wholesale Alcohol Tax	$10,831,484	$10,790,141	$21,621,625
Wholesale Alcohol Tax (Tribal)	$0	$42,393	$42,393
Cigarette & Tobacco Tax	**$21,701,776**	**$20,201,117**	**$41,902,893**
Cigarette Tax (Cities)	$1,009,447	$921,058	$1,930,505
Cigarette Tax (GF)	$13,806,156	$12,595,877	$26,402,033
Cigarette Tax (Tribal)	$63,772	$48,664	$112,436
Tobacco Tax	$6,822,401	$6,635,518	$13,457,919
Electric Generation Tax	**$29,725,136**	**$31,222,902**	**$60,948,038**
Other	**$13,565,036**	**$14,548,153**	**$28,113,189**
Aircraft Excise Tax	$12,959	$41,352	$54,311
Airline Tax	$228,408	$309,416	$537,824
Financial Institutions Tax	$0	$4,783	$4,783
Fuel Dealers & Inspection Fees	$274,178	$276,888	$551,066
Miscellaneous Remittances	$22,783	$15,006	$37,789
Music & Composition Tax	$497,673	$300,847	$798,520
Prepaid Wireless Fees	$992,686	$1,075,276	$2,067,962
Provider Assessment	$6,780,907	$7,745,269	$14,526,176
Telecommunications Tax	$4,755,442	$4,779,316	$9,534,758
Total State Tax & Fees	**$5,296,146,521**	**$4,999,515,083**	**$10,295,661,604**

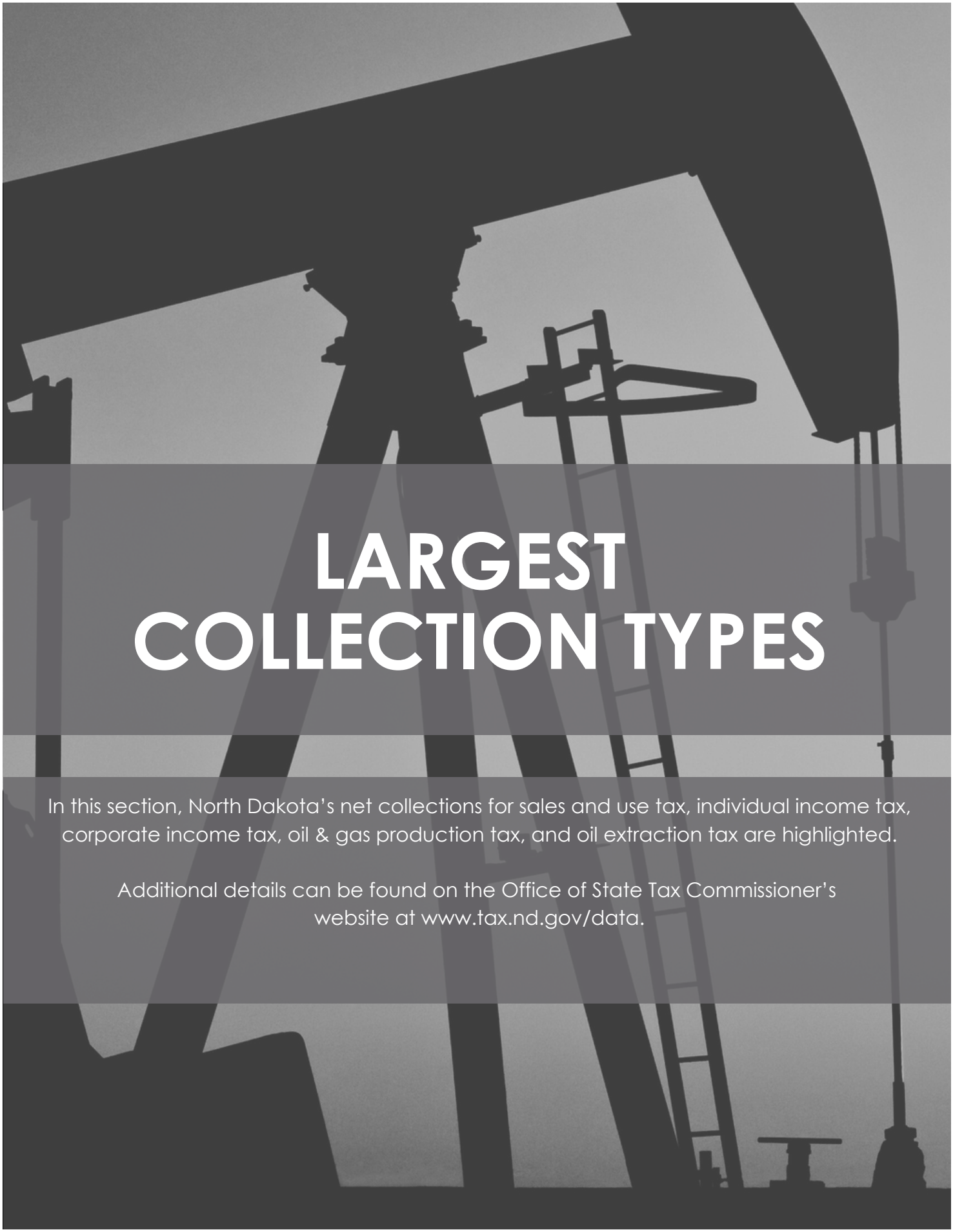
STATEMENT OF COLLECTIONS: 2023-2025 BIENNIUM

State Tax or Fee Type	FY 2024 Collections	FY 2025 Collections	Biennium Total
Aircraft Excise Tax	$12,959	$41,352	$54,311
Airline Tax	$228,408	$309,416	$537,824
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Cigarette Tax (Cities)	$1,009,447	$921,058	$1,930,505
Cigarette Tax (GF)	$13,806,156	$12,595,877	$26,402,033
Cigarette Tax (Tribal)	$63,772	$48,664	$112,436
Coal Conversion Tax	$4,025,691	$4,335,058	$8,360,749
Coal Severance Tax	$9,465,362	$9,598,197	$19,063,559
Corporate Income Tax	$277,392,914	$332,524,651	$609,917,565
Electric Generation Tax	$29,725,136	$31,222,902	$60,948,038
Financial Institutions Tax	$0	$4,783	$4,783
Fuel Dealers & Inspection Fees	$274,178	$276,888	$551,066
Individual Income Tax	$356,913,752	$454,307,586	$811,221,338
Miscellaneous Remittances	$22,783	$15,006	$37,789
Motor Vehicle Excise Tax	$1,012,088	$906,638	$1,918,726
Motor Vehicle Fuel Tax	$98,888,282	$99,420,988	$198,309,270
Music & Composition Tax	$497,673	$300,847	$798,520
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Prepaid Wireless Fees	$992,686	$1,075,276	$2,067,962
Provider Assessment	$6,780,907	$7,745,269	$14,526,176
Sales, Use, & Gross Receipts Tax	$1,319,999,380	$1,377,440,093	$2,697,439,473
Special Fuel Tax	$90,725,842	$92,206,748	$182,932,590
Telecommunications Tax	$4,755,442	$4,779,316	$9,534,758
Tobacco Tax	$6,822,401	$6,635,518	$13,457,919
Wholesale Alcohol Tax	$10,831,484	$10,790,141	$21,621,625
Wholesale Alcohol Tax (Tribal)	$0	$42,393	$42,393
Total	**$5,296,146,521**	**$4,999,515,083**	**$10,295,611,604**

Local Tax Type	FY 2024 Collections	FY 2025 Collections	Biennium Total
Local Motor Vehicle Rental Tax	$169,091	$180,694	$349,785
Local Occupancy Tax	$4,011,994	$4,769,392	$8,781,386
Local Restaurant & Lodging Tax	$11,061,323	$11,719,537	$22,780,860
Local Sales Tax	$367,978,411	$403,791,595	$771,770,006
Total	**$383,220,819**	**$420,461,218**	**$803,682,037**

Income Funds Type	FY 2024 Collections	FY 2025 Collections	Biennium Total
Centennial Tree Trust Fund	$33,366	$25,352	$58,718
Nongame Wildlife Fund	$27,989	$22,996	$50,985
Organ Transplant Support Fund	$19,341	$31,888	$51,229
Veterans' Postwar Trust Fund	$28,545	$20,817	$49,362
Total	**$109,241**	**$101,053**	**$210,294**

Total Collections	**$5,679,476,581**	**$5,420,077,354**	**$11,099,553,935**



LARGEST COLLECTION TYPES

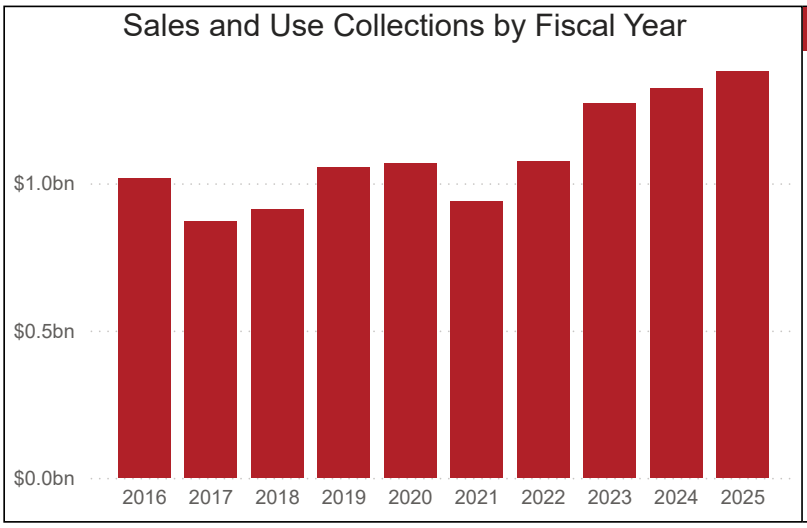
In this section, North Dakota's net collections for sales and use tax, individual income tax, corporate income tax, oil & gas production tax, and oil extraction tax are highlighted.

Additional details can be found on the Office of State Tax Commissioner's website at www.tax.nd.gov/data.

SALES AND USE TAX

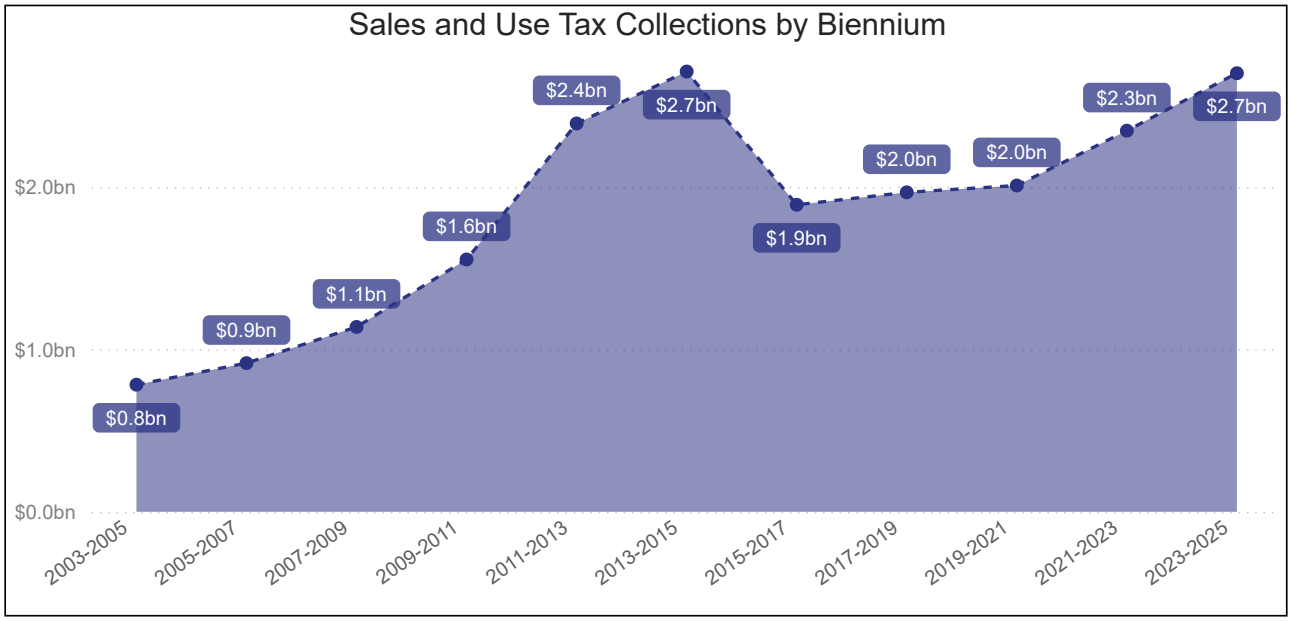
Generally, the North Dakota sales, use, and gross receipts taxes are imposed on the gross receipts of retailers. Sales tax is paid by the purchaser and collected by the retailer. The general sales and use tax rate is 5%, alcoholic beverages are taxed at 7%, and the tax rate on new farm machinery and new mobile homes is 3%. The revenues are then deposited into a variety of funds, including the State Aid Distribution Fund, County Aid Distribution Fund, Ag Research Fund, Multistate Audit Fund, and the General Fund. These totals include motor vehicle excise tax collections, excluding North Dakota Department of Transportation collections, and do not include local sales tax collections.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$2.7bn	**$2.3bn**	**15.1%**
Collections	Collections	Percentage Change



Sales and Use Tax

Fiscal Year	Collections
2025	$1,378,480,295
2024	$1,321,011,468
2023	$1,270,943,346
2022	$1,074,998,980
2021	$940,162,688
2020	$1,068,244,312
2019	$1,053,484,880
2018	$912,788,410
2017	$872,421,766
2016	$1,017,376,784

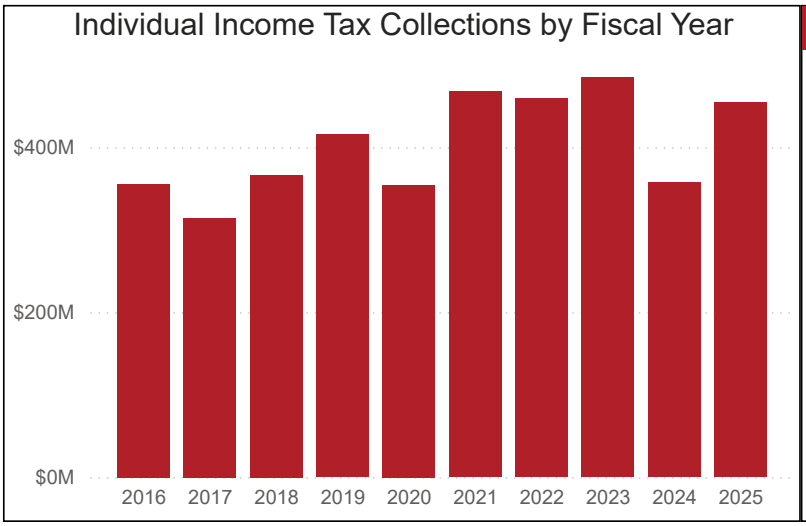


INDIVIDUAL INCOME TAX

For tax years 2015 through 2022, tax rates ranged from 1.10% to 2.90% of North Dakota taxable income. Tax years 2021 and 2022 included the tax relief credit which was worth up to $350 for single filers and up to $700 for joint filers. For tax years beginning with 2023, the tax rates range from 0% to 2.5%. Individual income tax revenues are deposited in the State General Fund.

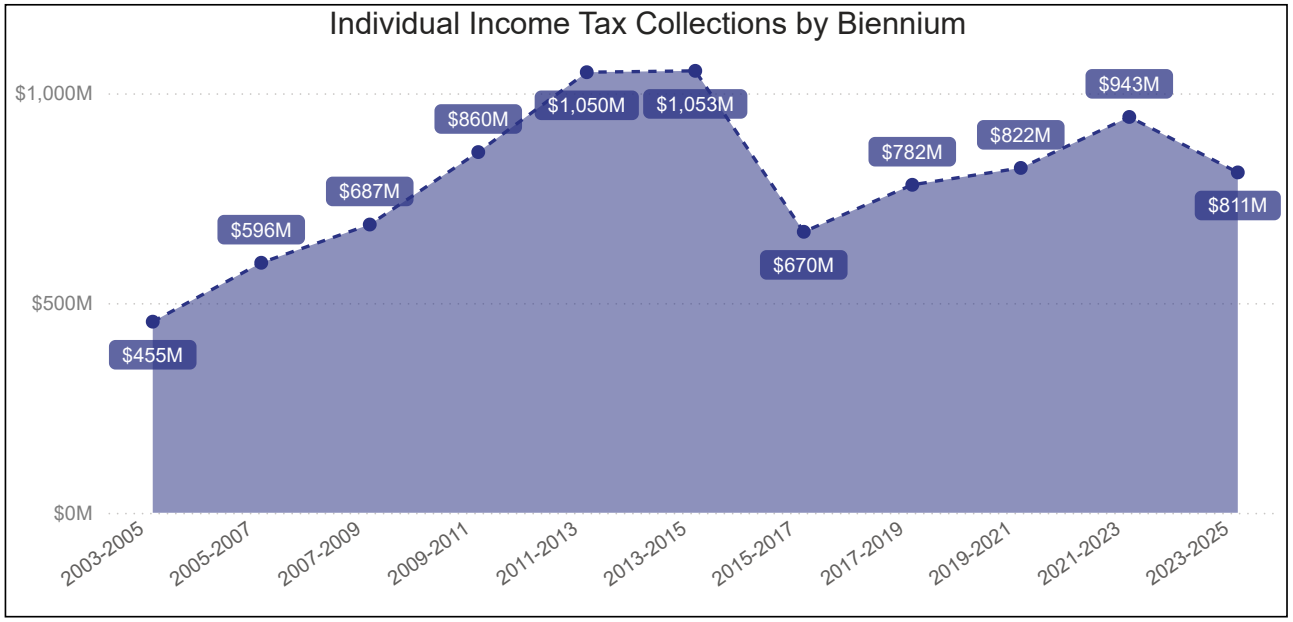
Please Note: Although individual income tax is filed by calendar year, for the purpose of this report, collections are reported by fiscal year.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$811.2M	**$943.4M**	**-14.0%**
Collections	Collections	Percentage Change



Individual Income Tax

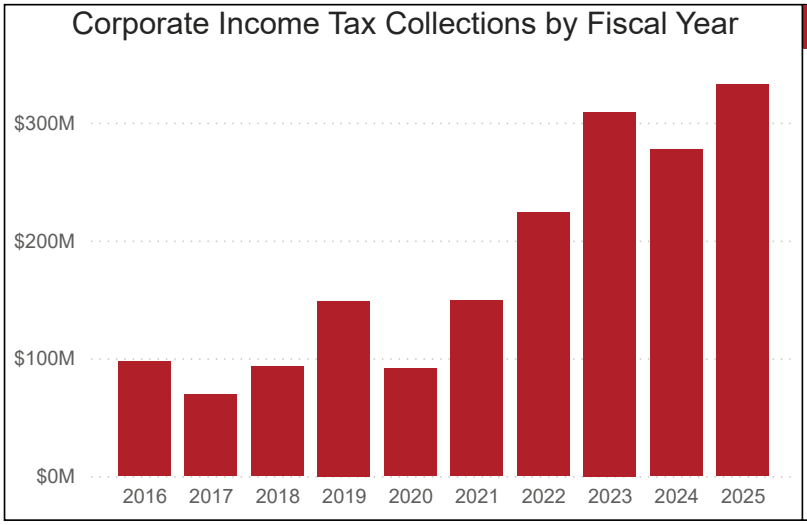
Fiscal Year	Collections
2025	$454,307,586
2024	$356,913,752
2023	$484,841,723
2022	$458,606,976
2021	$467,619,975
2020	$354,297,561
2019	$415,389,437
2018	$366,321,257
2017	$314,192,157
2016	$355,512,173



CORPORATE INCOME TAX

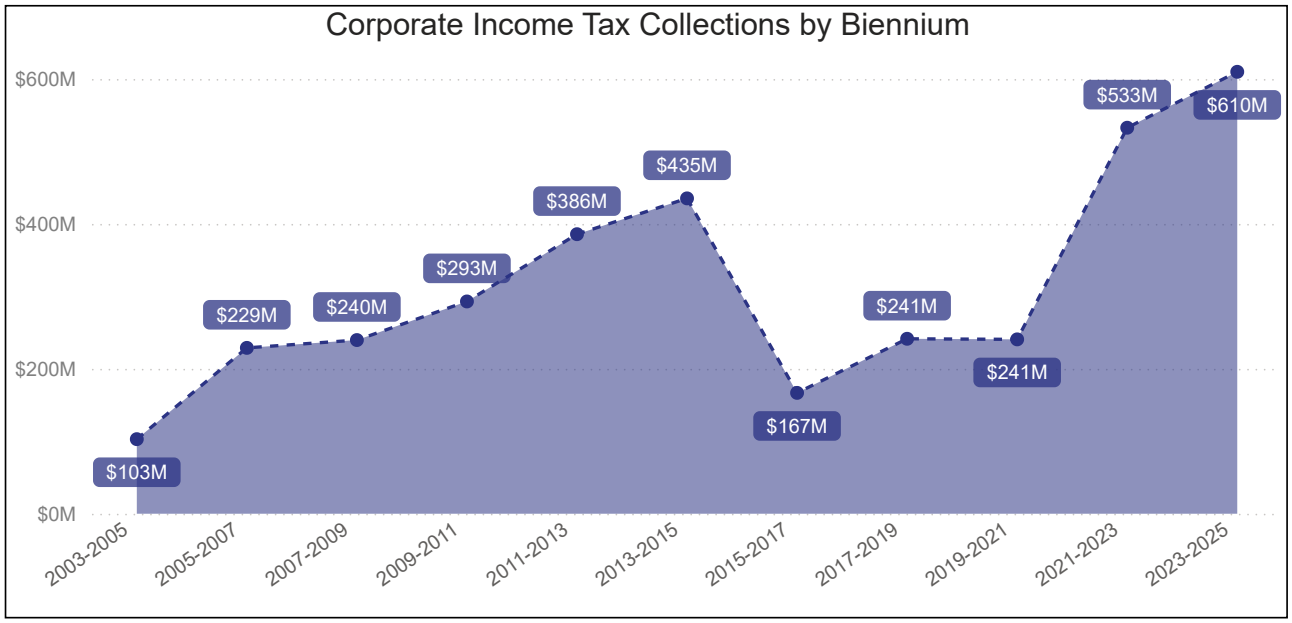
For the tax years beginning with 2015, tax rates range from 1.41% to 4.31%. Corporate income tax revenues are deposited in the State General Fund.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$609.9M	**$532.7M**	**14.5%**
Collections	Collections	Percentage Change



Corporate Income Tax

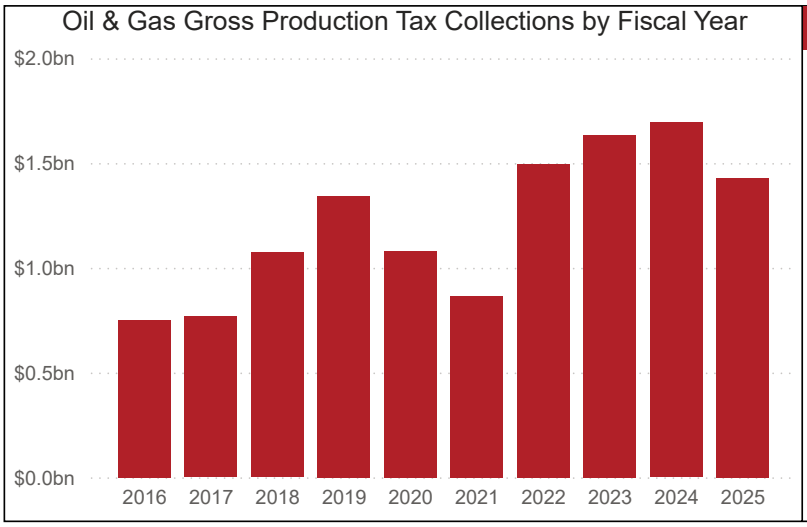
Fiscal Year	Collections
2025	$332,524,651
2024	$277,392,914
2023	$308,960,938
2022	$223,786,315
2021	$148,989,722
2020	$91,654,676
2019	$148,581,690
2018	$92,872,214
2017	$69,225,592
2016	$97,580,800



OIL AND GAS GROSS PRODUCTION TAX

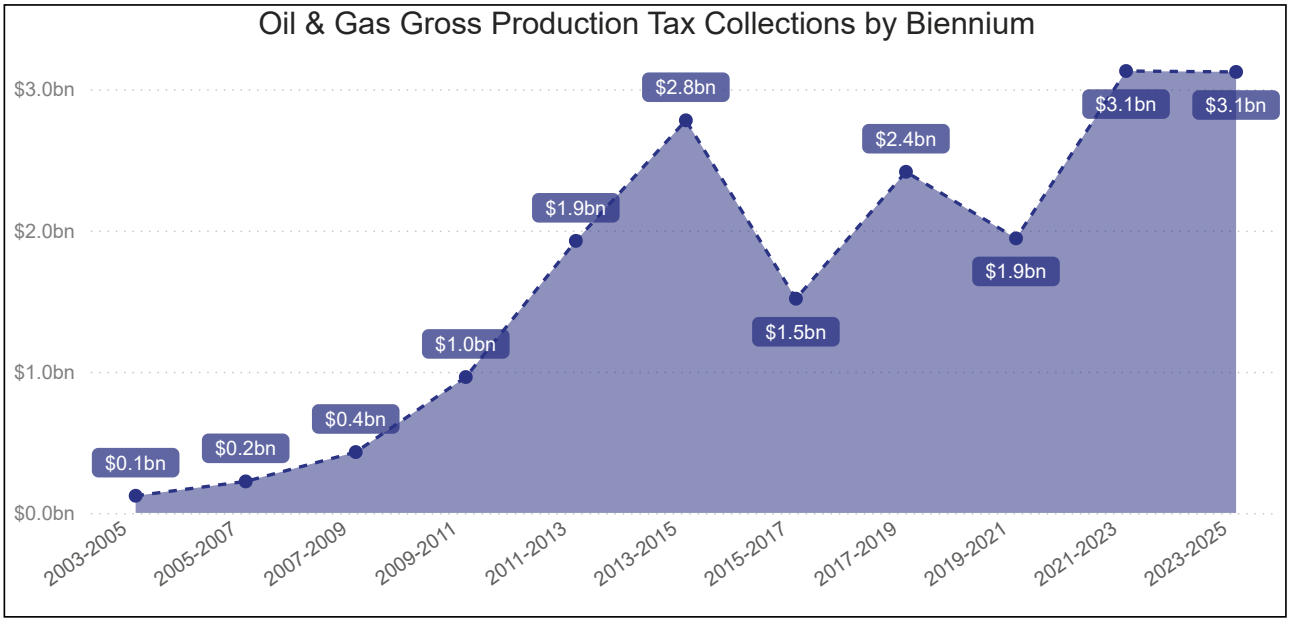
The gross value of oil production at the well, less any part which is specifically exempt, is taxed at a rate of 5% in lieu of property taxes on the oil and gas producing properties. Gas production is taxed on a volume basis at a rate determined by the movement of a fuels cost index. These tax revenues are deposited into a variety of funds, including the Outdoor Heritage Fund, Abandoned Oil and Gas Well Plugging and Site Reclamation Fund, Legacy Fund, and the State General Fund. Additional revenue is allocated to the oil producing counties.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$3.1bn Collections	**$3.1bn** Collections	**-0.2%** Percentage Change



Oil & Gas Gross Production Tax

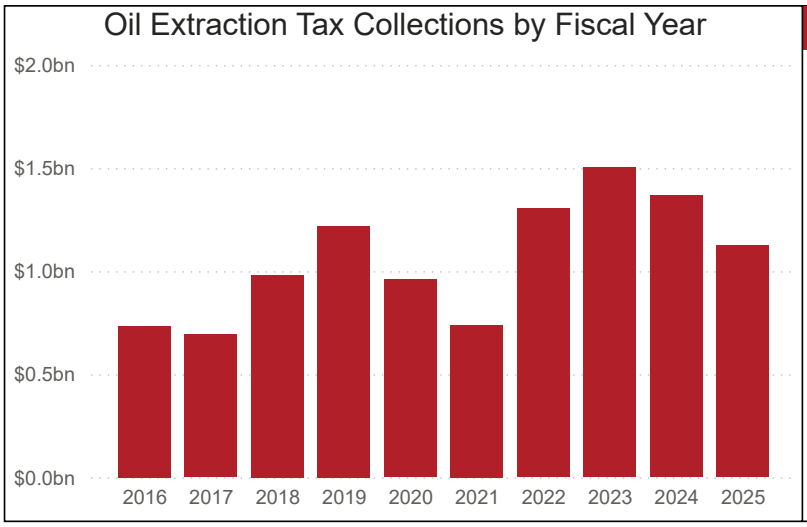
Fiscal Year	Collections
2025	$1,427,928,399
2024	$1,694,376,429
2023	$1,634,144,485
2022	$1,494,531,005
2021	$864,056,938
2020	$1,079,900,629
2019	$1,342,037,843
2018	$1,073,026,703
2017	$766,430,836
2016	$750,474,504



OIL EXTRACTION TAX

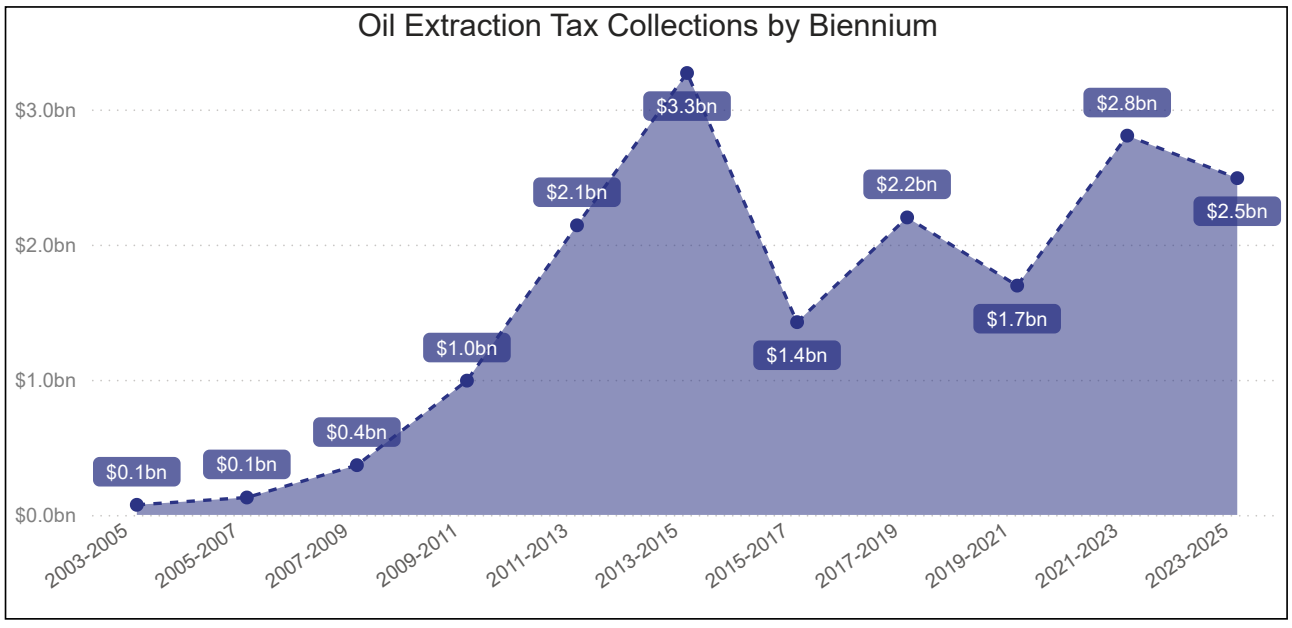
The oil extraction tax is a tax on the gross value of oil production at the well, less any part which is specifically exempt. The oil extraction tax trigger was in effect for the July through November months of Fiscal Year 2025 which caused an estimated revenue increase of over $135 million. Revenues from the oil extraction tax are deposited into several funds, including the Legacy Fund, Common Schools Trust Fund, Foundation Aid Stabilization Fund, Southwest Water Pipeline Sinking Fund, Resources Trust Fund, and the State General Fund.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$2.5bn	**$2.8bn**	**-11.2%**
Collections	Collections	Percentage Change



Oil Extraction Tax

Fiscal Year	Collections
2025	$1,123,908,455
2024	$1,367,523,349
2023	$1,502,726,167
2022	$1,303,104,198
2021	$737,815,364
2020	$958,579,683
2019	$1,219,436,220
2018	$981,364,851
2017	$693,306,400
2016	$732,866,348





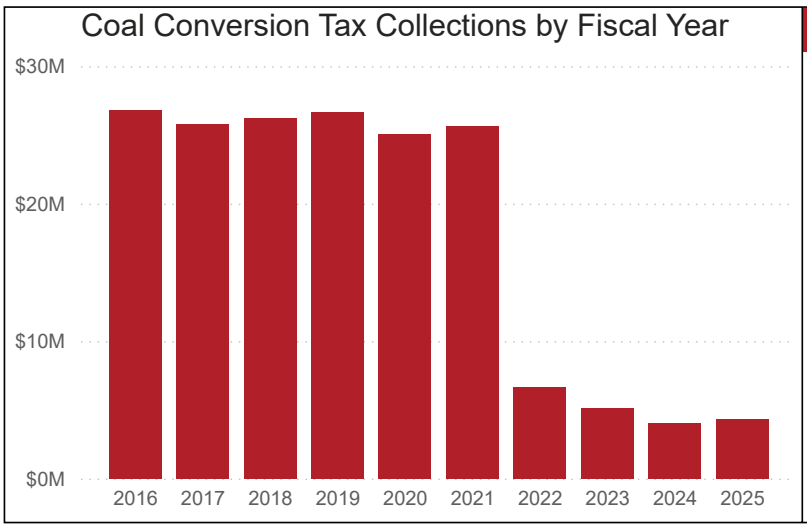
OTHER TAXES

This section features North Dakota's diverse tax categories, including coal conversion and severance taxes, motor fuel taxes, and other key sources such as alcohol, cigarette and tobacco products, and electric generation tax.

COAL CONVERSION TAX

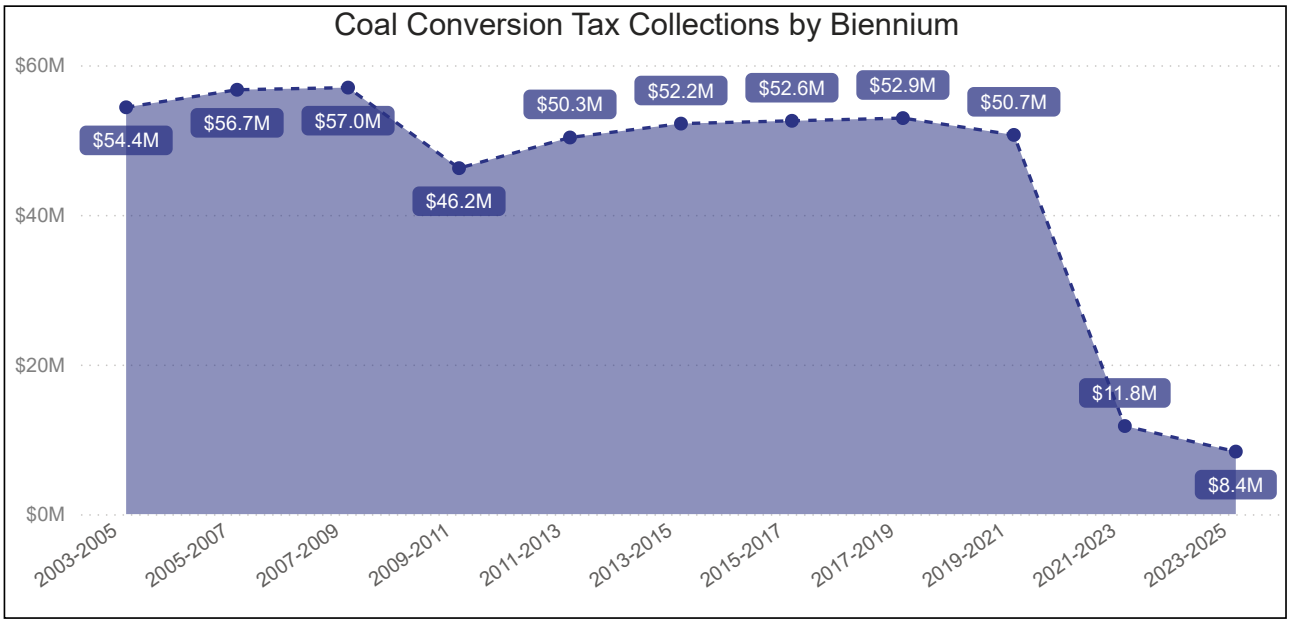
Facilities that process or convert coal are subject to the coal conversion facilities tax unless exempt by statute. Electrical generating plants that have a single generating unit with the capacity of 10,000 kilowatts or more are subject to the coal conversion facilities tax. The 2021 Legislature exempted electrical generating plants and coal conversion facilities from the 85% State General Fund tax beginning July 1, 2021, and ending June 30, 2026. Instead, the companies will pay a lignite research tax on 5% of the 85% State Legacy Fund tax. The 2025 Legislature implemented a graduated exemption of 85% of the State's share of tax from July 1, 2026, until June 30, 2031.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$8.4M	**$11.8M**	**-29.0%**
Collections	Collections	Percentage Change



Coal Conversion Tax

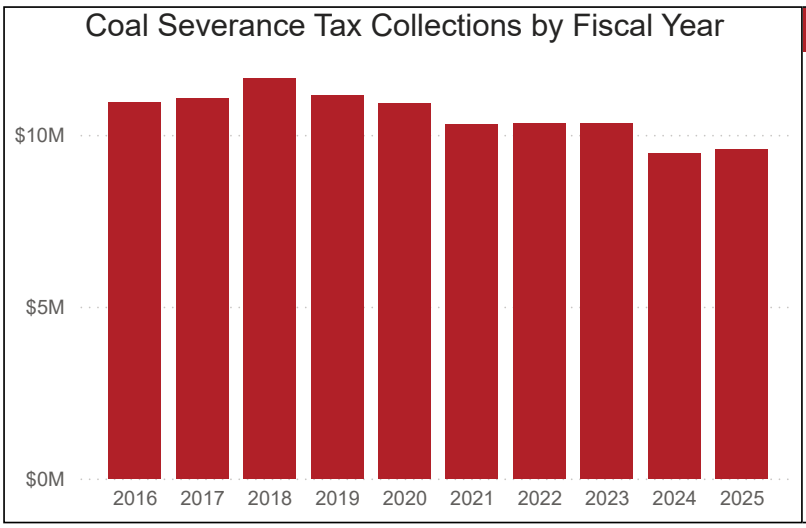
Fiscal Year	Collections
2025	$4,335,058
2024	$4,025,691
2023	$5,102,099
2022	$6,671,229
2021	$25,641,128
2020	$25,040,729
2019	$26,690,136
2018	$26,237,709
2017	$25,779,352
2016	$26,785,652



COAL SEVERANCE TAX

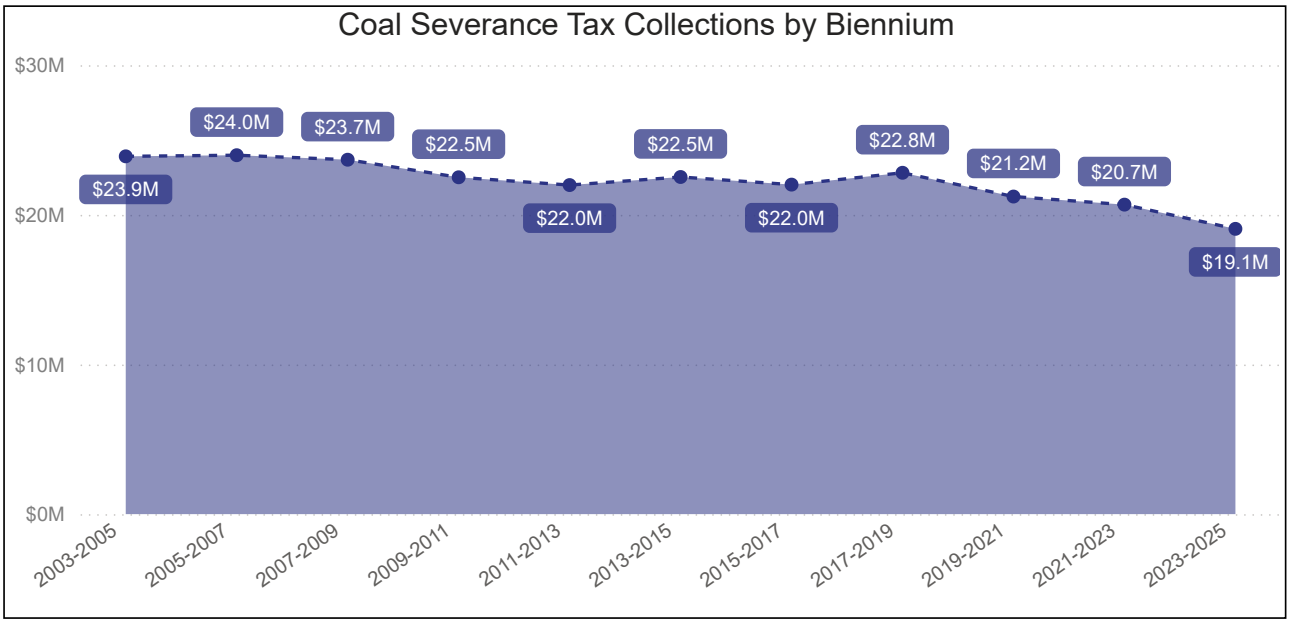
The coal severance tax is applied to coal severed from the ground on a $0.375 per ton basis. The 2021 Legislature approved HB 1412 which provides the county to grant an optional, partial, or complete exemption from up to 70% of the tax imposed. Any tax revenue exceeding 30% of the tax imposed under this subsection must be allocated to the county. In the 2025 Legislative Session, HB 1279 allowed for the 70% county exemption to be continued through June 30, 2031 unless the Tax Commissioner certifies to the Legislative Council that the production tax credit for electricity from renewables under section 45 of the Internal Revenue Code [26 U.S.C. 45] and the clean electricity production tax credit under section 45Y of the Internal Revenue Code [26 U.S.C. 45Y] have been repealed, if the certification is received before June 30, 2031.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$19.1M	**$20.7M**	**-7.8%**
Collections	Collections	Percentage Change



Coal Severance Tax

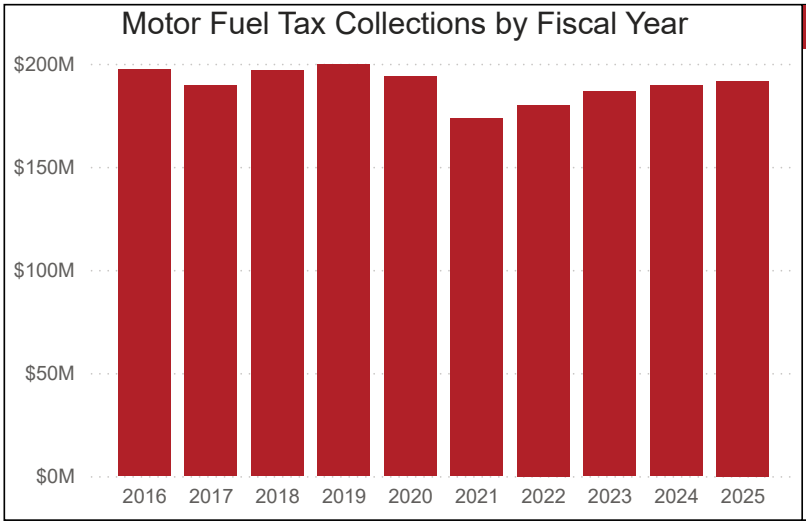
Fiscal Year	Collections
2025	$9,598,197
2024	$9,465,362
2023	$10,337,509
2022	$10,343,540
2021	$10,307,101
2020	$10,914,914
2019	$11,155,296
2018	$11,654,559
2017	$11,070,361
2016	$10,948,613



MOTOR FUEL TAX

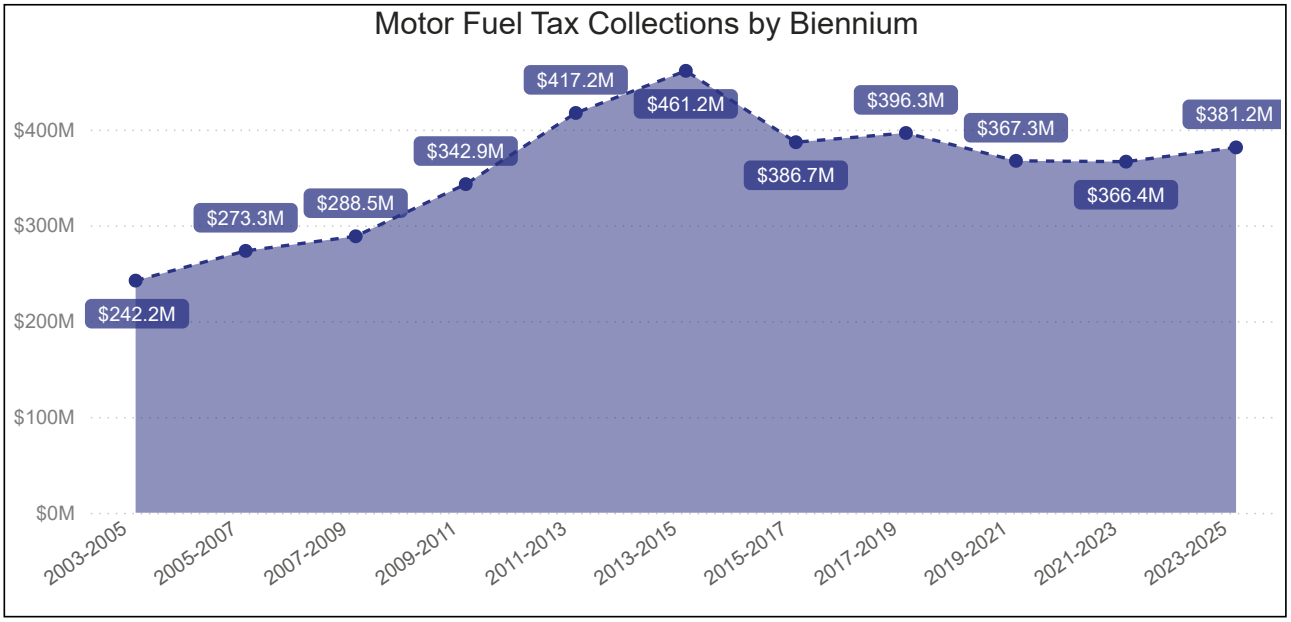
The motor fuel taxes are made up of collections from aviation fuel, motor vehicle fuel and special fuel. Aviation fuel tax is a per gallon tax levied on all aviation fuel at $0.08 per gallon. Motor vehicle fuel tax is a per gallon tax levied on all motor vehicle fuel (gasoline and gasohol) at $0.23 per gallon. Special fuel taxes tax diesel fuels at $0.23 per gallon, dyed fuel and kerosene at $0.04 per gallon, and a tax of 2% is levied on propane.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$381.2M	**$366.4M**	**4.1%**
Collections	Collections	Percentage Change



Motor Fuel Tax

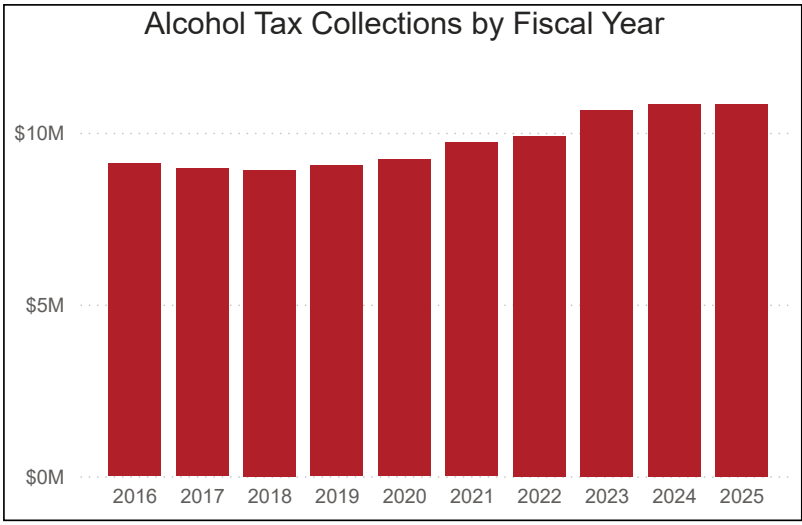
Fiscal Year	Collections
2025	$191,627,736
2024	$189,614,124
2023	$186,438,950
2022	$179,941,029
2021	$173,285,625
2020	$193,966,910
2019	$199,550,769
2018	$196,756,642
2017	$189,517,844
2016	$197,177,741



ALCOHOL TAX

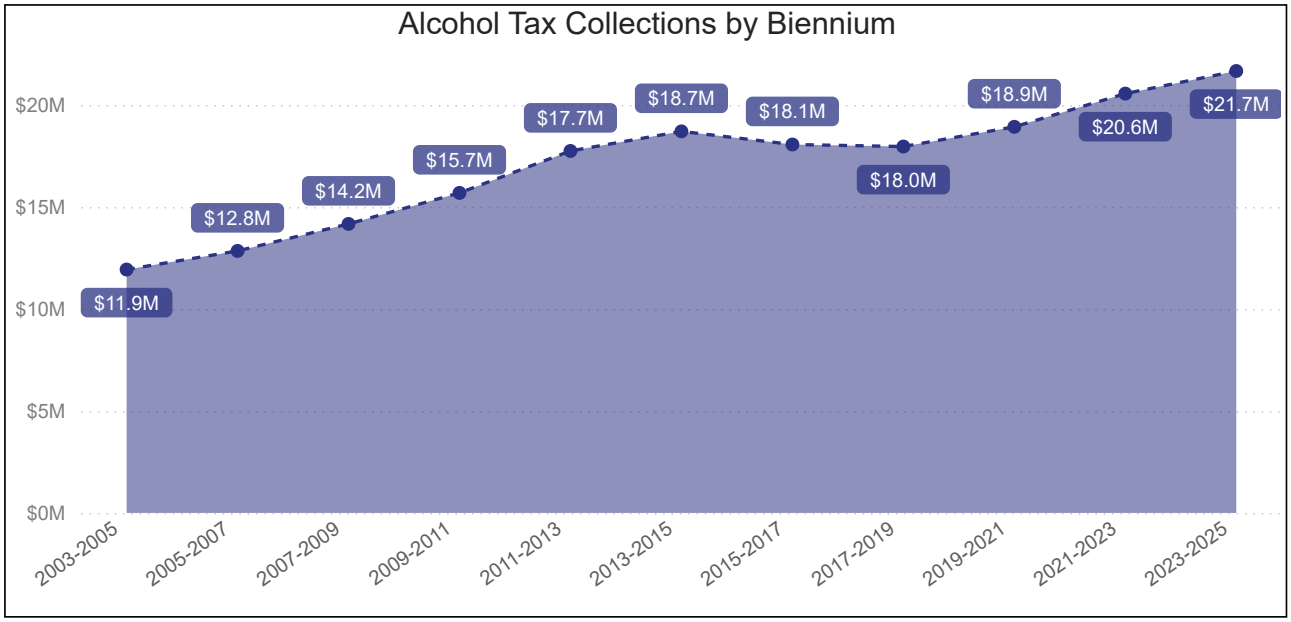
The alcohol tax, made up of tax collections on beer and liquor, is a privilege tax imposed on all alcoholic beverage wholesalers doing business in North Dakota. In addition, direct shippers, microbrew pubs, brewer taprooms, domestic wineries, and domestic distilleries pay the taxes on alcoholic beverages made by those facilities and sold directly to consumers. These tax revenues are deposited into the State General Fund.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$21.7M	**$20.6M**	**5.4%**
Collections	Collections	Percentage Change



Alcohol Tax

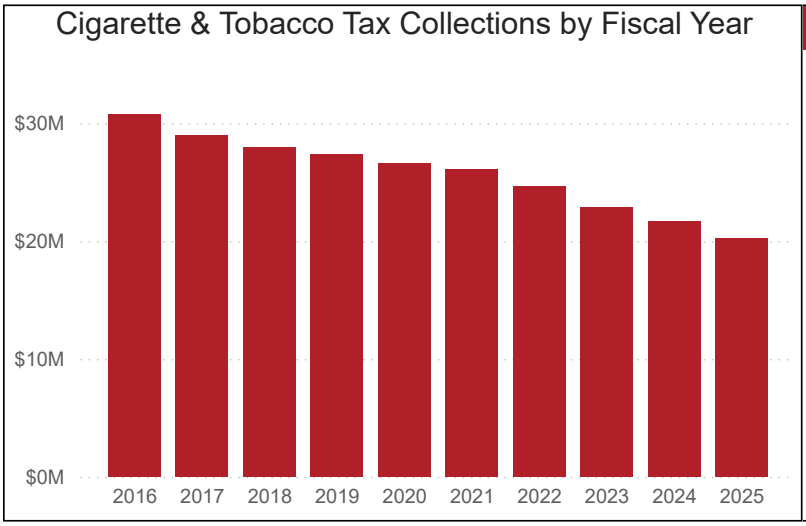
Fiscal Year	Collections
2025	$10,832,534
2024	$10,831,484
2023	$10,653,454
2022	$9,903,036
2021	$9,713,763
2020	$9,214,659
2019	$9,049,233
2018	$8,912,231
2017	$8,954,200
2016	$9,106,683



CIGARETTE & TOBACCO PRODUCTS TAX

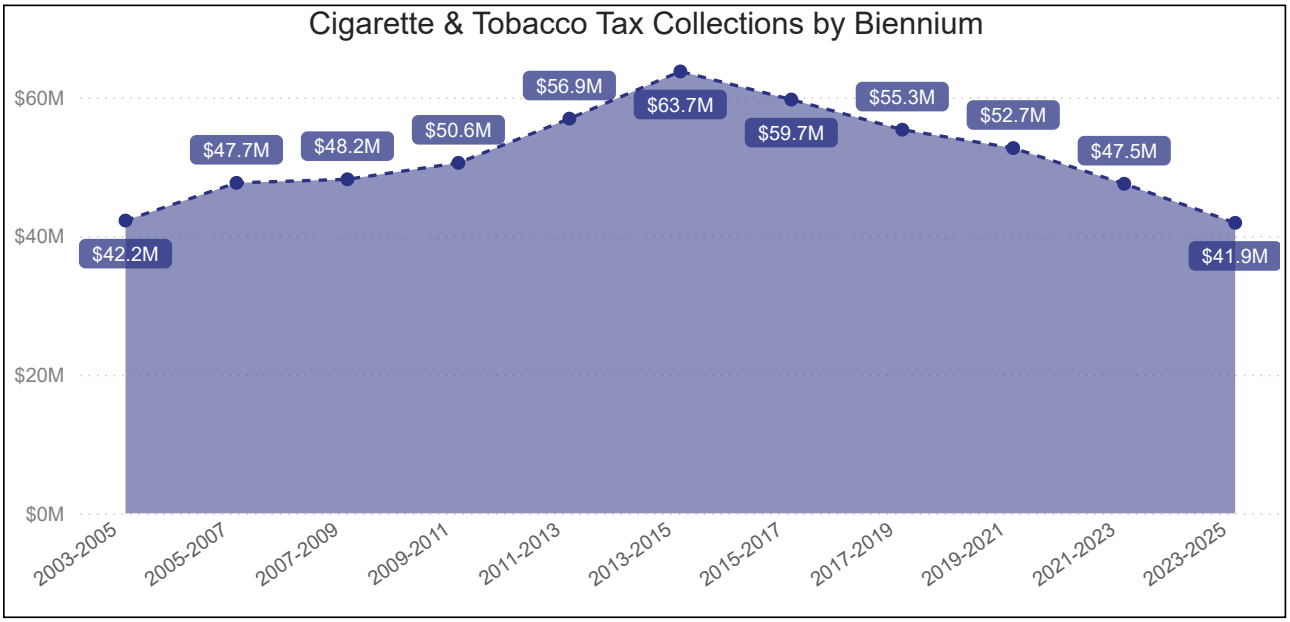
The cigarette tax rate is $0.44 per package of 20 cigarettes. Generally, the tobacco products tax is 28% of the wholesale purchase price. Some tobacco products are taxed based on weight. Cigarette & tobacco products tax revenues are deposited into the State General Fund and allocated to cities and tribes in North Dakota.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$41.9M	**$47.5M**	**-11.8%**
Collections	Collections	Percentage Change



Cigarette & Tobacco Tax

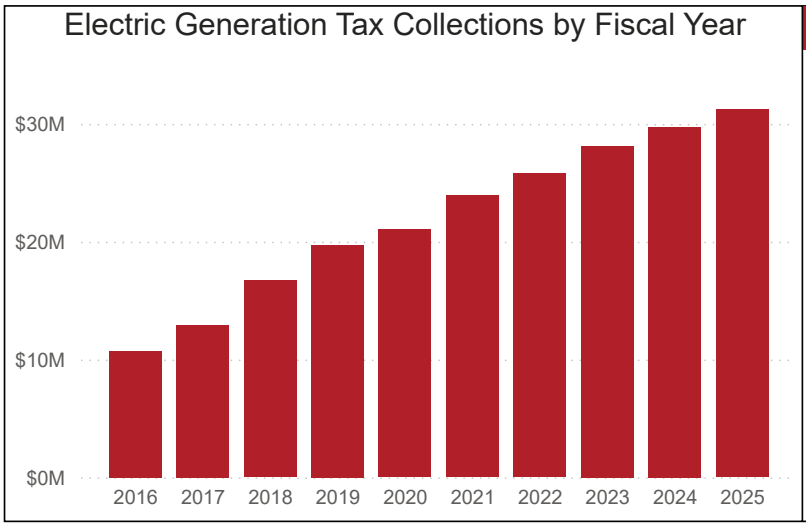
Fiscal Year	Collections
2025	$20,201,117
2024	$21,701,776
2023	$22,887,675
2022	$24,648,149
2021	$26,077,562
2020	$26,607,049
2019	$27,359,995
2018	$27,976,158
2017	$28,952,046
2016	$30,732,247



ELECTRIC GENERATION TAX

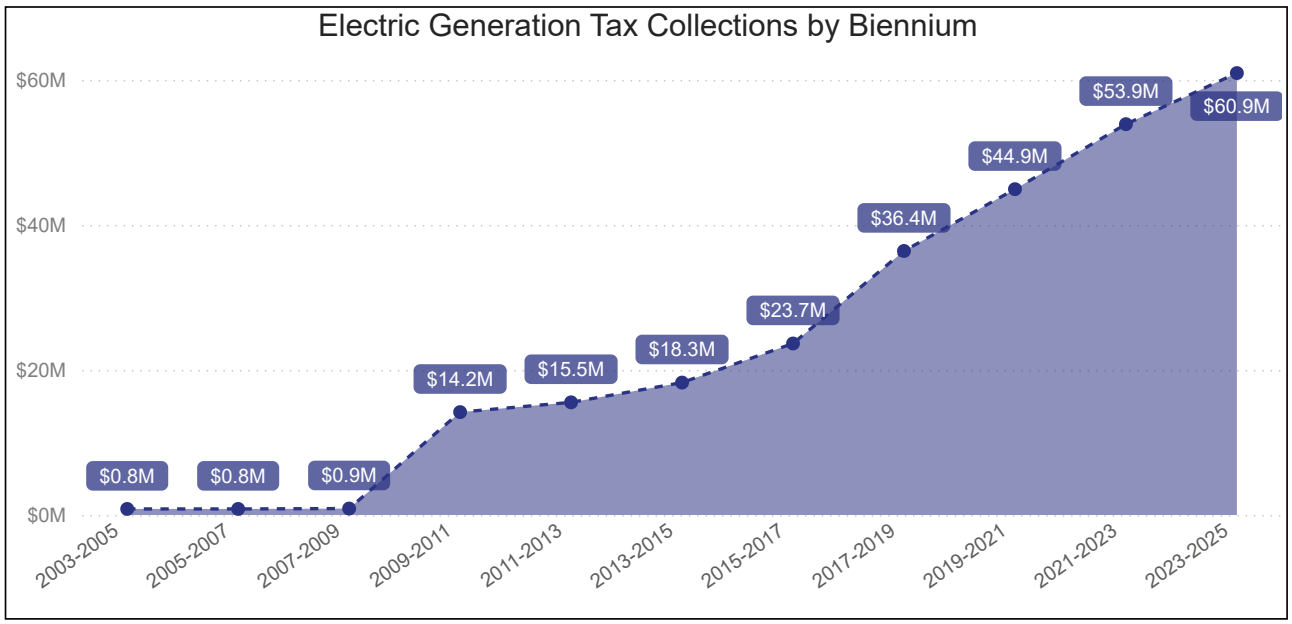
All transmission lines of 100 kilowatts or more, on which construction is completed after December 31, 2014, or which is 20 years or more from the date of first assessment, are subject to taxes in lieu of property taxes. Electric generation tax revenues are deposited into the Electric Generation and Transmission Fund.

2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$60.9M	**$53.9M**	**13.1%**
Collections	Collections	Percentage Change



Electric Generation Tax

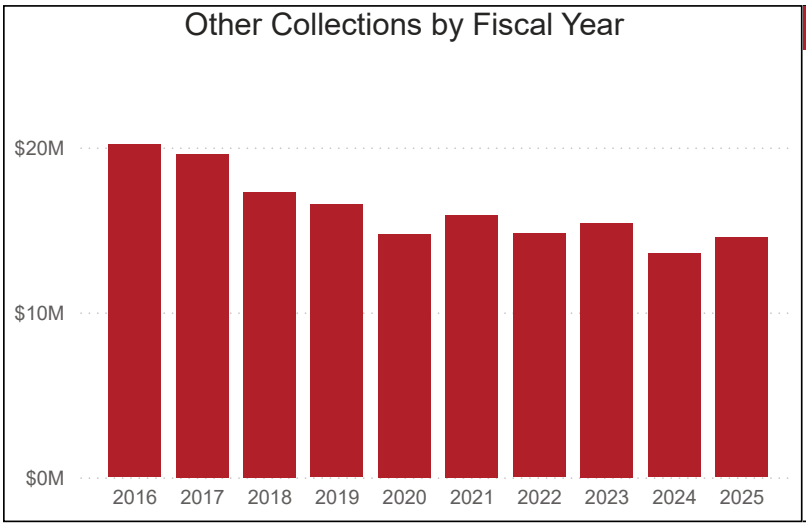
Fiscal Year	Collections
2025	$31,222,902
2024	$29,725,136
2023	$28,106,912
2022	$25,789,719
2021	$23,914,437
2020	$21,018,518
2019	$19,706,197
2018	$16,703,423
2017	$12,925,602
2016	$10,724,632



OTHER TAXES

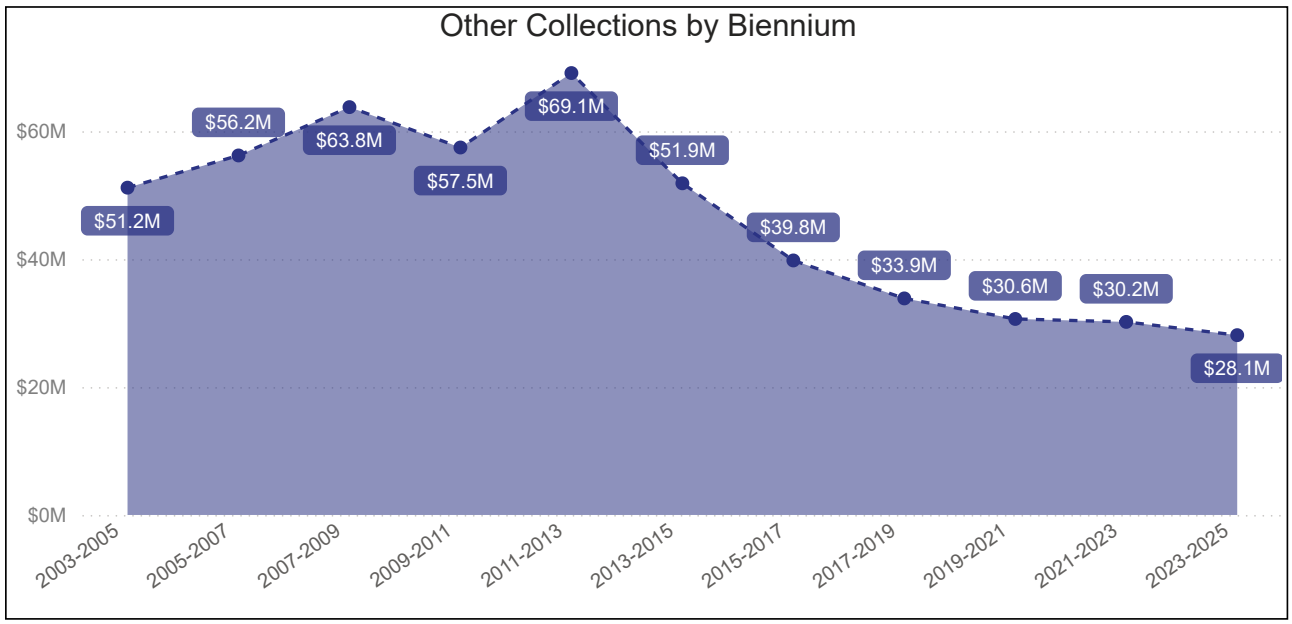
This page includes the collections from the aircraft excise tax, airline tax, financial institutions tax, fuel dealers and inspection fees, miscellaneous remittances, music and composition tax, prepaid wireless 911 fee, provider assessment tax, and telecommunications tax types.

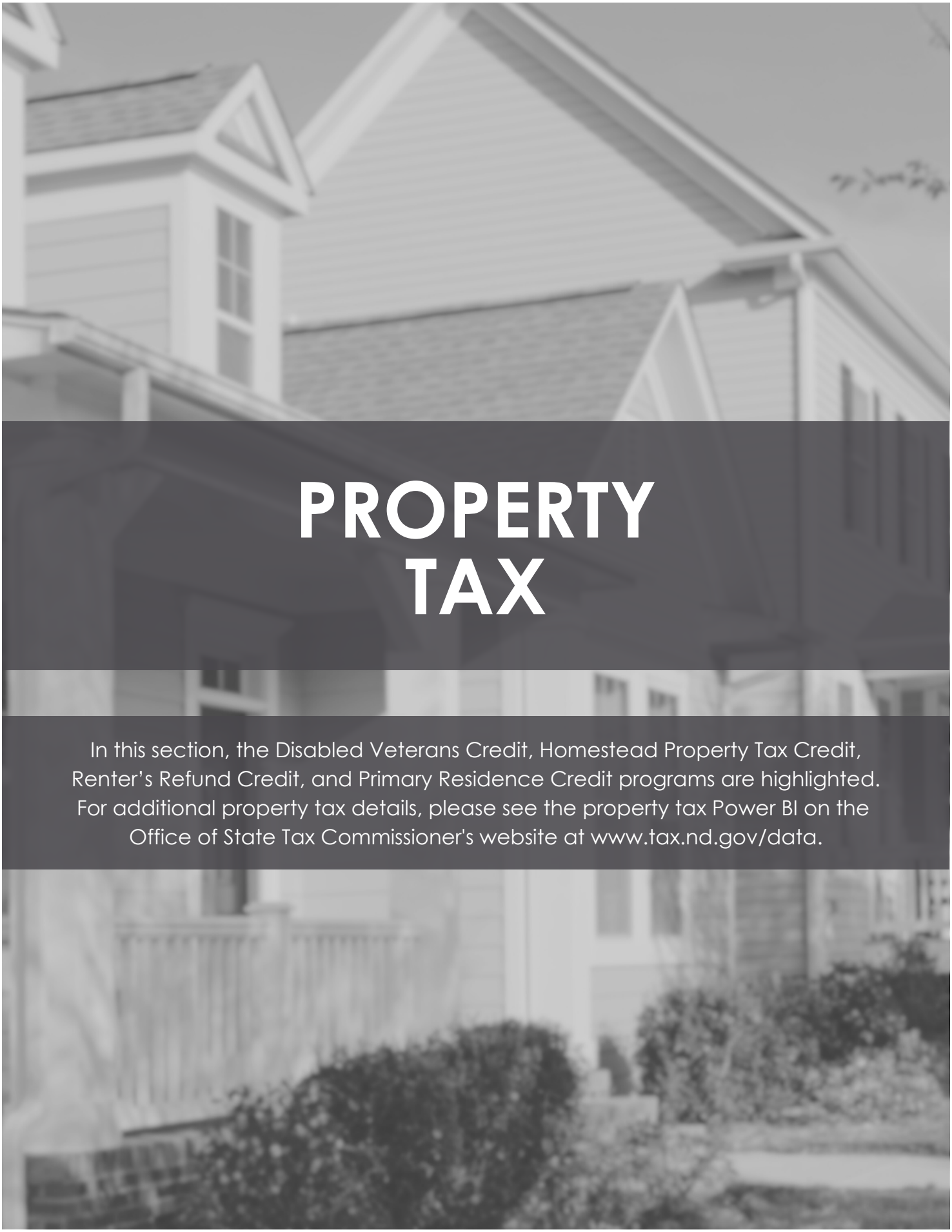
2023-2025 Biennium	2021-2023 Biennium	Biennium Difference
$28.1M	**$30.2M**	**-6.9%**
Collections	Collections	Percentage Change



Other

Fiscal Year	Collections
2025	$14,548,153
2024	$13,565,036
2023	$15,401,307
2022	$14,783,581
2021	$15,893,664
2020	$14,752,296
2019	$16,545,309
2018	$17,311,724
2017	$19,605,005
2016	$20,186,888



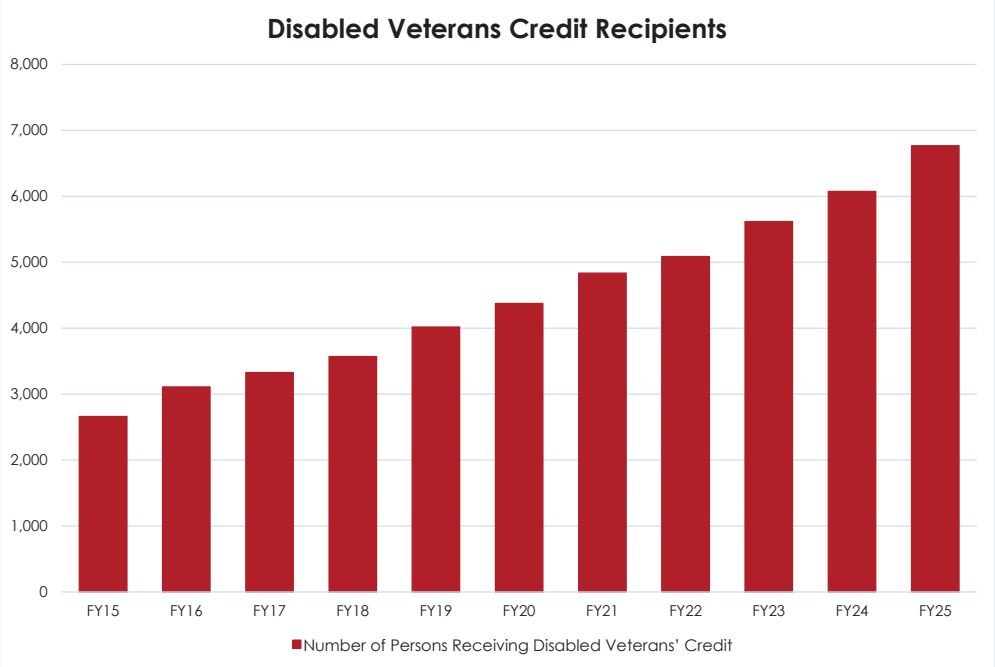


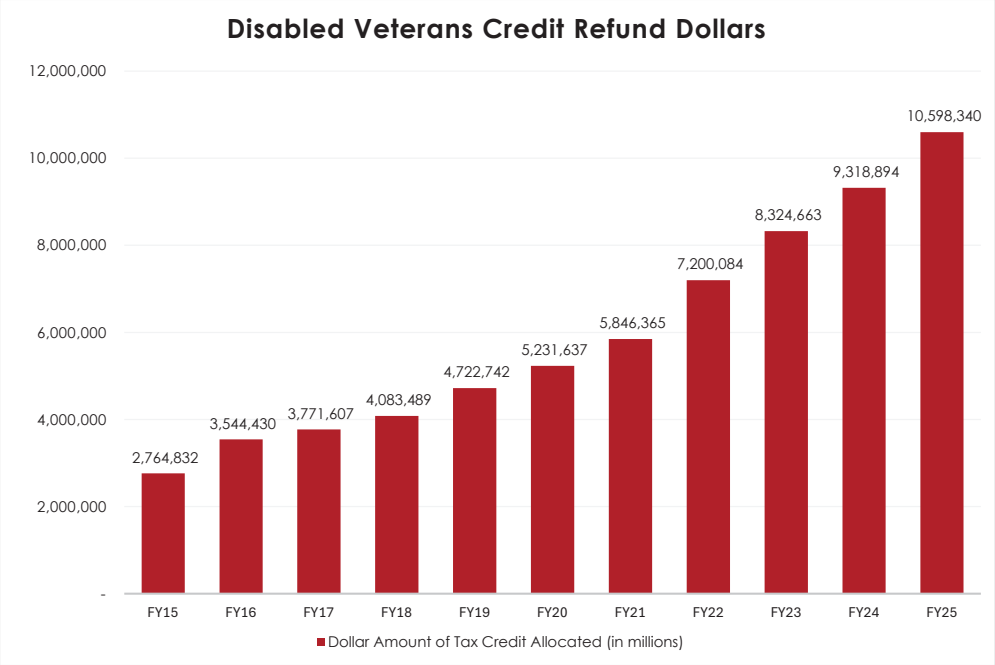
PROPERTY TAX

In this section, the Disabled Veterans Credit, Homestead Property Tax Credit, Renter's Refund Credit, and Primary Residence Credit programs are highlighted. For additional property tax details, please see the property tax Power BI on the Office of State Tax Commissioner's website at www.tax.nd.gov/data.

DISABLED VETERANS CREDIT

The Disabled Veterans Credit is a property tax credit for U.S. Armed Forces veterans with a service-connected disability. It reduces the taxable value of a qualifying residence and the taxes owed. Eligible veterans must file an application with their local assessor or county director of tax equalization by March 31 of the assessment year. The charts below show, in thousands, the number of North Dakotans receiving the credit and the total refund dollars (in millions) distributed from fiscal years 2015 to 2025.





HOMESTEAD PROPERTY TAX CREDIT & RENTER'S REFUND

The Homestead Property Tax Credit and Renter's Refund are available to eligible North Dakotans. Individuals may qualify for the property tax credit or partial refund of the rent they pay, if one of the following requirements is met:

- 65 years of age or older, OR
- An individual with a permanent and total disability
- Proof of total disability must be established by a certificate from a licensed physician or a written determination of disability from the Social Security Administration or federal or state agency authorized to certify an individual's disability.
- There is no age requirement for those with a permanent and total disability.
- For a married couple who are living together, only one may apply for the Homestead Property Tax Credit or Renter's Refund. Only the spouse applying for the credit needs to be 65 years of age or older, or permanently and totally disabled.
- Have a household income of $70,000 or less

Homestead Credit Amount

The credit for eligible homeowners is a reduction in the taxable value of the homestead as determined by the following schedule for taxes levied in 2023 and 2024 (Payable in 2024 and 2025):

Income of	Reduction Percent	Maximum Amount
$0 - $40,000	100%	$9,000
$40,001 - $70,000	50%	$4,500

Renter's Refund Amount

The refund for eligible renters is determined through a percentage comparison of annual rent payments and total household income. If 20% of your annual rent exceeds your annual income, you will receive a refund for the over payment.

For example, a renter pays $800 per month in rent ($9,600 per year) and the renter's income is $35,000.

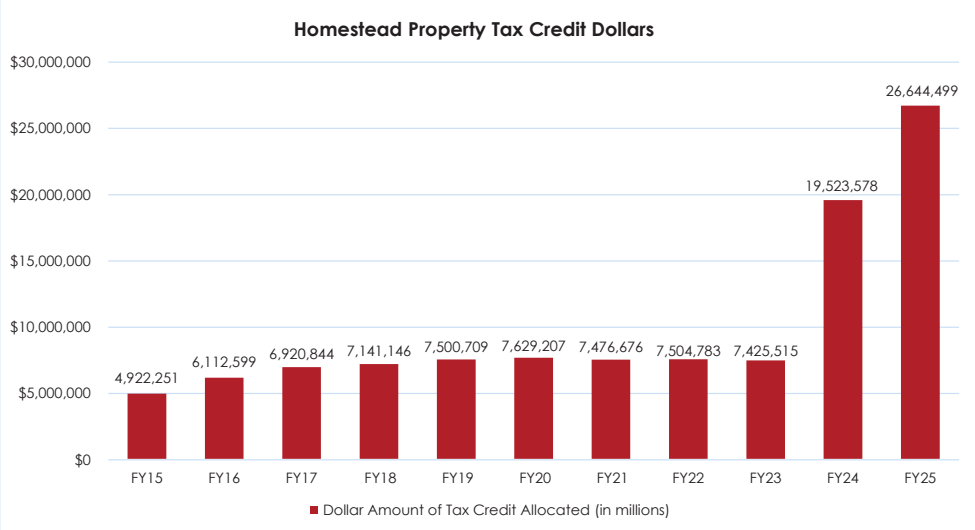
- 20% of $9,600 (rent) is $1,920
- 4% of $35,000 (income) is $1,400
- $1,920 - $1,400 = $520 Renter's Refund

HOMESTEAD PROPERTY TAX CREDIT & RENTER'S REFUND

The charts and data tables showcased below showcase the total amount of recipients and funding allocated to these programs from fiscal years 2015 - 2025.

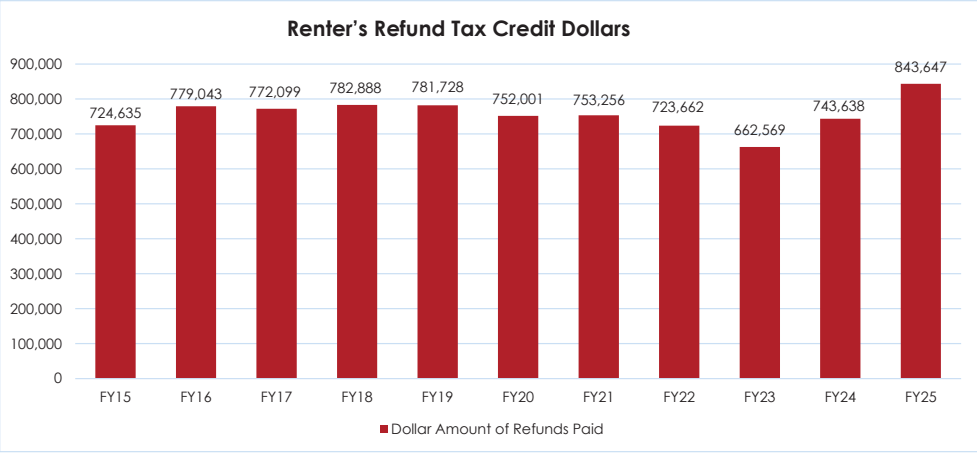
Homestead Property Tax Credit

# of Individuals Receiving the Homestead Credit	
Fiscal Year	Recipients
2015	6,740
2016	8,659
2017	8,621
2018	9,705
2019	9,399
2020	9,320
2021	9,173
2022	8,892
2023	8,687
2024	14,627
2025	19,490



Renter's Refund Tax Credit

# of Individuals Receiving the Renter's Refund Credit	
Fiscal Year	Recipients
2015	2,680
2016	2,814
2017	2,749
2018	2,790
2019	2,844
2020	2,651
2021	2,579
2022	2,453
2023	2,285
2024	2,544
2025	2,697



PRIMARY RESIDENCE CREDIT

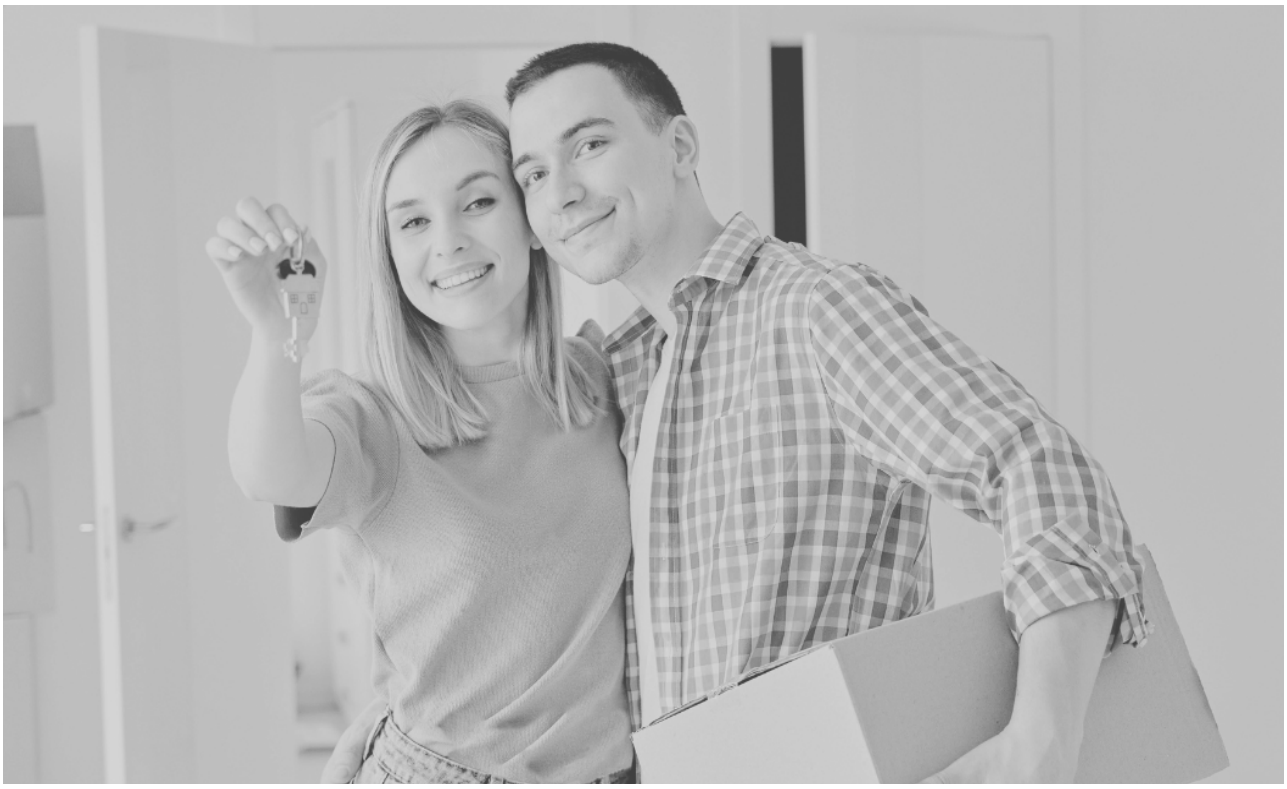
Among the most significant outcomes for taxpayers during the 2025 Legislative Session was the passage of House Bill 1176, a landmark property tax relief measure. This legislation increases the Primary Residence Credit (PRC) from $500 to $1,600 annually, delivering substantial tax savings to North Dakota homeowners.

The revised PRC program will be funded through a dedicated stream of earnings from the state's $12 billion dollar Legacy Earnings Fund. Over the 2025-2027 biennium, it is projected to provide $403 million in property tax relief, with the potential for continued growth as the Legacy Fund expands in future years.

HB 1176 builds upon the PRC program first established in the 2023 Legislative Session under HB 1158, ensuring property tax relief remains both sustainable and accessible. Eligible applicants receive an annual property tax credit applied directly against taxes due on their primary residence.

Key updates to the PRC program this session included:

- Expanding the maximum credit from $500 to $1,600 per primary residence
- Introducing a one-time special application period for mobile homeowners
- Funding the program with the Legacy Earnings Fund
- Creating a new primary residential property tax class for tax years after 2025





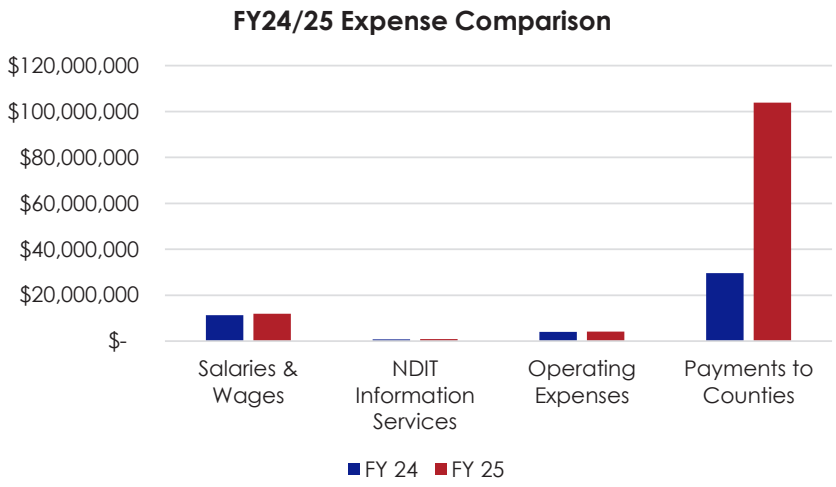
EXPENDITURES

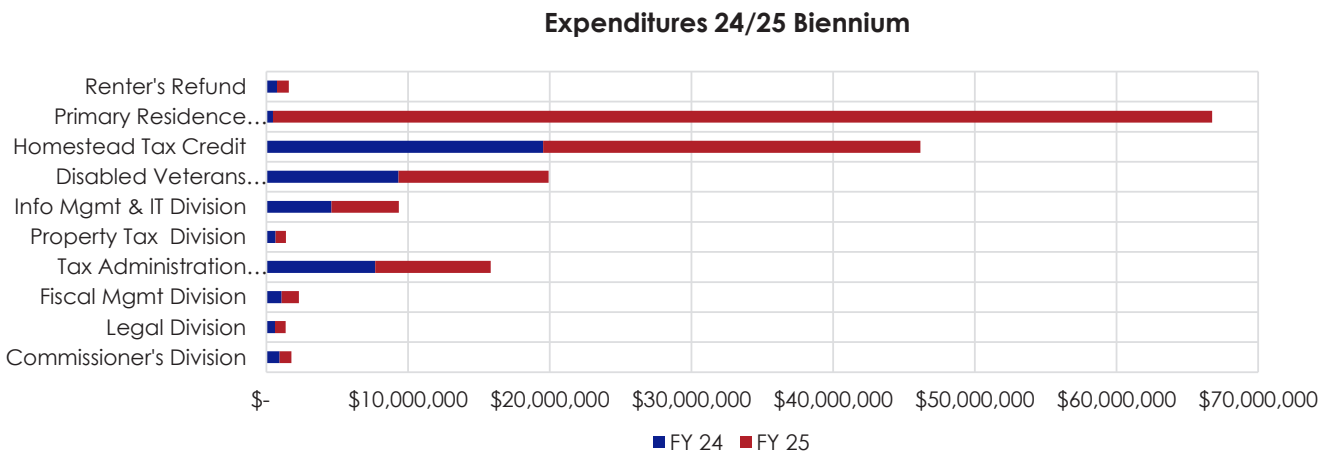
This section provides the Office of State Tax Commissioner's statement of expenditures for the 2023–2025 biennium. For additional fiscal details or questions, please contact a representative from our Fiscal team.

STATEMENT OF EXPENDITURES 2023-2025 BIENNIUM

Expense Type	FY 24	FY 25	Biennium Total
Salaries & Wages	$ 11,328,072	$ 11,934,029	$ 23,262,102
NDIT Information Services	$ 733,265	$ 827,258	$ 1,560,523
Operating Expenses	$ 3,978,618	$ 4,114,711	$ 8,093,329
Payments to Counties	$ 29,586,110	$ 103,880,826	$ 133,466,936
Total	**$ 45,626,065**	**$ 120,756,825**	**$ 166,382,889**

Division/Credit Expenditure	FY 24	FY 25	Biennium Total
Commissioner's Division	$ 931,125	$ 832,236	$ 1,763,361
Legal Division	$ 615,300	$ 751,032	$ 1,366,332
Fiscal Mgmt Division	$ 1,084,709	$ 1,200,512	$ 2,285,221
Tax Administration Division	$ 7,684,056	$ 8,144,008	$ 15,828,064
Property Tax Division	$ 654,339	$ 718,236	$ 1,372,575
Info Mgmt & IT Division	$ 4,601,580	$ 4,745,129	$ 9,346,708
Disabled Veterans Credit	$ 9,318,894	$ 10,598,340	$ 19,917,234
Homestead Tax Credit	$ 19,523,578	$ 26,644,499	$ 46,168,077
Primary Residence Credit	$ 468,846	$ 66,279,185	$ 66,748,032
Renter's Refund	$ 743,638	$ 843,647	$ 1,587,285
Total	**$ 45,626,065**	**$ 120,756,825**	**$ 166,382,889**







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